



## **DEPARTMENT OF REVENUE**

### **Colorado Lottery**

## **LOTTERY RULES AND REGULATIONS**

### **1 CCR 206-1**

[Editor's Notes follow the text of the rules at the end of this CCR Document]

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## **RULE 1 - GENERAL DEFINITIONS**

### **BASIS AND PURPOSE FOR RULE 1**

The purpose of Rule 1 is to provide definitions for the Colorado Lottery General Rules and Regulations. The statutory basis for Rule 1 is found in C.R.S. 4440-101(5), 44-40-109(1)(a) and (2), and 44-40-110.

#### **1.1 General Provisions**

The Colorado Lottery Commission adopts these Definitions which apply to all of the Lottery Rules and Regulations unless otherwise stated and in addition to any other definitions that may apply in a specific section of the rules. Suppose there is a direct conflict between one of these definitions and a definition in a specific section of the rules. In that case, the latter shall apply.

#### **1.2 Definitions**

Unless these Rules and Regulations specifically state otherwise:

- A. "Act" means State Lottery Division, Title 44, Article 40 of the Colorado Revised Statutes.
- B. "Additional Lottery Prizes" means cash, merchandise, and/or services, as determined by the Director.
- C. "Advance Play" means the option to Purchase Jackpot Tickets for more than one future consecutive Drawing, with the first advance play Ticket Purchased for the next available Drawing.
- D. "Aggregate Prize Fund" means the maximum percentage of sales for each Jackpot Game that may be used to pay Prizes.
- E. "Barcode" means the barcode on a Ticket that contains the Validation information which indicates whether the Ticket entitles the Ticket Holder to a Prize.

- F. “Barcode Reader” means the computer hardware/software used by Retailers to read barcoded information on Tickets.
- G. “Claimant” means a Person claiming a Lottery Prize.
- H. “Claims Center” means any location designated by the Director where a Person may file a claim for any Lottery Prize.
- I. “Commission” means the Colorado Lottery Commission established under the Act.
- J. “Coupons” mean marketing tools that entitle the holder to a discounted Lottery Product and are approved by the Commission.
- K. “Courier” means a Person or entity that receives an order and payment for a Ticket(s) from a Courier Customer and Purchases the Ticket(s) from a Retailer on the Licensed Premises on behalf of a Courier Customer and then digitally or physically delivers the Ticket(s) to the Courier Customer in exchange for a fee and facilitates redemption of Ticket(s) on behalf of a Courier Customer. A Courier is an entity separate and apart from the Retailer, meaning a separate legal entity with separate employees.
- L. “Courier Customer” means a Person who is located within the State of Colorado, but not within the designated boundaries of federally recognized Indian lands, and submits an order and payment to a Courier for the Purchase of Ticket(s) in exchange for a fee using payment methods approved by the Lottery for the sale of Ticket(s). “Director” means the Senior Director of the Colorado State Lottery Division.
- M. “Division” means the Colorado State Lottery Division.
- N. “Draw Break” means the period of time prior to a Drawing during which Jackpot Tickets may not be sold, Purchased, or validated for the upcoming Drawing.
- O. “Drawing” means a random selection process to determine winning numbers as set forth in specific Game Rules.
- P. “E-instant Game” means a type of Instant Scratch Game that is played digitally and available for Purchase directly from the Division using Registered Play.
- Q. “Electronic Funds Transfer” or “EFT” means the electronic transfer of money from one bank account to another.
- R. “Executive Director” means the Executive Director of the Colorado Department of Revenue.
- S. “Force Majeure” means an unexpected event (i.e., a natural disaster) that prevents the scheduled completion of an activity.

- T. “Gaming System” means the computer system(s) consisting of Gaming Terminals, central processing equipment, and a communication network used to administer Lottery Products.
- U. “Gaming Terminal” means the computer system through which Jackpot Tickets are generated, Validated, and Instant Scratch Tickets are supported.
- V. “Geolocate” or “Geolocation” means the method, system, or process used to confirm that a Courier Customer or Person purchasing Lottery Products digitally is physically present within the State of Colorado and not within the designated boundaries of federally recognized Indian lands at the time that the Courier Customer submits an order for Ticket(s) from a Courier.
- W. “Immediate Family” shall include any spouse, child, brother, sister, and/or parent residing in the same household.
- X. “Instant Scratch Game” means a type of Lottery game where the Prize is revealed instantly once the game is played, including but limited to E-instant Games, Scratch Tickets and any terminal game that instantly reveals a win, except those that are offered as an add-on to a Jackpot game.
- Y. “Instant Scratch Game Guidelines” means the set of guidelines approved by the Commission that establish the rules for a specific Instant Scratch Game.
- Z. “In-state Jackpot Game” is a Jackpot Game that is only available for Purchase within the State of Colorado.
- AA. “Jackpot Game” is a game in which a player or the Gaming System selects a combination of numbers in advance of a Drawing.
- BB. “Jackpot Ticket” means a Ticket or image generated by the Gaming Terminal or Registered Play reflecting the combination of numbers selected for In-state and Multi-state Jackpot Games.
- CC. “Key Employee” means an officer, director, or employee of a Vendor or an officer, director, or employee of a Vendor’s subcontractor whose job responsibilities could reasonably pose a risk to the Lottery, including but not limited to, employees whose job duties include the marketing, development, operation, or security of a Lottery Product or related system.
- DD. “Know Your Customer” or “KYC” means the method, system or process used to verify a Person’s identity, including the age, of a Courier Customer in order to prevent duplication of accounts and prevent minors or other unauthorized Persons from ordering Tickets.
- EE. “Licensed Premises” means the physical location where the Retailer is authorized to Sell Tickets pursuant to the license issued by the Division or as otherwise authorized pursuant to the Act or these rules.

- FF. “Retailer” or “Lottery Retailer” means any business licensed to Sell authorized Lottery Products pursuant to the Act or these rules.
- GG. “Lottery” means any and all lotteries created and operated pursuant to the Act.
- HH. “Multi-state Jackpot Game” means a Jackpot Game that is sold in Colorado as well as other jurisdictions.
- II. “Net Sales” means gross sales less cancellations or returns.
- JJ. “Person” means a natural Person.
- KK. “Play Area” means the area on a Scratch Ticket covered with a coating that can be removed by the player.
- LL. “Play Slip” means a mark-sense game slip used to select plays in Jackpot Games, including digital game slips. A Play Slip has no financial value and is not evidence of a Ticket Purchase or of numbers selected.
- MM. “Player” means a Person who Purchases a Lottery Product.
- NN. “Player-Selected Item” means a number or group of numbers selected by a Player in connection with a Lottery Jackpot Game.
- OO. “Prize” means an award, financial or otherwise, from the Lottery.
- PP. “Prize Amounts” means the amount of money payable for Jackpot Games in each Prize Category, or to each share, or the annuitized future value of each share in a Prize Category for each Drawing.
- QQ. “Prize Category” means the category of Prize based on matching combinations as described in the specific Game Rules.
- RR. “Prize Expense” means the accrued portion of Net Sales from all Lottery Products paid or designated to be paid out in Prizes.
- SS. “Prize Fund” means the amount of money allocated for Prizes as defined in the Instant Scratch Game Guidelines or specific Game Rules.
- TT. “Prize Winner” means a Person who is entitled to claim a Prize.
- UU. “Product” or “Lottery Product” means any goods produced by the Lottery for sale to the public either directly or through a Retailer.
- VV. “Promotional Drawing Guidelines” means guidelines for Promotional Drawings associated with a specific Lottery Game or related marketing activity.

- WW. "Promotional Ticket" means a Ticket that is either a free Ticket or entitles a Player to a free Ticket and is approved by the Director for distribution to the public to promote the Lottery.
- XX. "Quick Pick" means a computer-generated selection of a number, item, or group of numbers in connection with a Jackpot Game.
- YY. "Registered Play" means a wager where the play is owned by a specifically identified Player through a means acceptable to the Lottery, and which is recorded on the computer gaming system and internal computer system.
- ZZ. "Scratch Ticket" means a type of Instant Scratch Game where a Ticket has preprinted play symbols or characters that are covered with a coating that, when removed, reveals whether the Player has won a Prize.
- AAA. "Sell", "Sale" or "Purchase" means the payment to a Retailer in exchange for a Ticket at the fixed price set by the Commission on the Retailer's Licensed Premises.
- BBB. "Shares" means the total number of matching combinations within each Prize Category as determined for each draw.
- CCC. "Ticket" or "Lottery Ticket" means an acceptable evidence of play, which is a Ticket produced in a manner that meets the specifications defined in these rules and is either a physical representation of the play or plays sold to the Player; or electronic evidence of a Ticketless transaction in the form of Registered Play.
- DDD. "Ticket Holder" means a Person who has physical possession of a Lottery Ticket or electronic evidence of a Ticketless transaction in the form of Registered Play.
- EEE. "Validation" or "Validate" means the process of determining whether a Lottery Ticket presented for payment is a winning Ticket.
- FFF. "Validation Number" means the unique number printed on a Scratch Ticket that is used for Validation.
- GGG. "Vendor" means any third party that is contracted with the Lottery to provide services or materials related to any Lottery Product, including but not limited to the marketing, development, operation, or security of a Lottery Product or related system. Vendor may include, but is not limited to, a supplier as described in C.R.S. 44-40-106.

## **RULE 2 – RETAILER LICENSING, DUTIES AND COMPENSATION**

### **BASIS AND PURPOSE FOR RULE 2**

The purpose of Rule 2 is to establish and provide the specific factors required for determining eligibility of an applicant desiring to obtain a license for the Sale of Lottery Products to the public; to specify certain duties of the Retailers; to authorize the Director to establish bonding protection for the State of Colorado; to describe the types of limitations which may be placed upon licenses issued by the Director; to provide for the circumstances upon which the Director may terminate licenses and issue duplicate licenses; to specify certain terms, conditions and duties required of Retailers authorized to Sell Lottery game Products; to specify the rights of the Retailer, as well as the detailed operation of the Lottery at the retail sales level, including the conditions that must be met in order for a Retailer to be permitted to Sell Tickets to a Courier. The provisions of Rule 2 are necessary in order to promote the public interest, as well as the security and efficient operation of the Lottery. The statutory basis for Rule 2 is found in C.R.S. 44-40-107 and 44-40-109(1)(a) and (2).

### **2.1 Application for License to Sell Lottery Products**

- A. Any Person, firm, association or corporation, whether for profit or non-profit. P may apply to the Lottery for a Retailer license by filing an application with the Division. Such application shall be completed under penalty of perjury on a form approved by the Director.
- B. A fee in an amount to be determined by the Director shall be paid by the applicant for a Retail license to the Lottery. This fee shall be paid at the time of the issuance of the license and upon renewal of the license thereafter.

### **2.2 Retailer Commission**

- A. Each Retailer shall be entitled to receive a payment for the Sale or authorized disbursement of Lottery Products by said Retailer as provided for in C.R.S. 44-40-107 in the amounts specified in these rules and their Retailer agreement with the Lottery.
- B. At a minimum, Retailers shall receive the following commissions for the Sale of Jackpot Games and Scratch Tickets:
  - 1. 6% for the Sale of Jackpot Games; and,
  - 2. 7% for the Sale of Scratch Tickets.

## **2.3 Eligibility for License**

- A. The Director shall issue licenses for the Sale of authorized Lottery Products in accordance with the provisions of C.R.S. 44-40-107 and these Rules and Regulations. The Director shall license only such Persons who, in the Director's opinion, will best serve the public interest and trust in the Lottery and promote the Sale of Lottery Products. Prior to issuing any license, the Director shall consider all of the following factors:
1. The moral character and reputation of the applicant per C.R.S. 44-40-107(4)(e);
  2. The financial responsibility and security of the applicant and its business or activity;
  3. The accessibility of the public to the Licensed Premises proposed by applicant;
  4. The number and sufficiency of existing licenses to serve the public interest;
  5. The volume of the applicant's expected Lottery Ticket Sales;
  6. The security and efficient operation of the Lottery;
  7. Whether the applicant is ineligible under the provisions of C.R.S. 44-40-107(4);
  8. Business and security considerations which include but are not limited to:
    - a. Past security problems;
    - b. Credit history of owners, officers and the business entity; and,
    - c. History of administrative or regulatory actions.
  9. Marketing considerations which include but are not limited to:
    - a. Projected Sales of Lottery Products; and,
    - b. Willingness to promote Lottery Products.

## **2.4 Duties of Retailers**

In order to promote the public interest and the security, and efficient and responsible operation of the Lottery, each Retail licensee must abide by the following terms, conditions and duties:

- A. To be bound by and comply with all lawful provisions of Article 40, Title 44, C.R.S. and the Lottery Rules and Regulations adopted pursuant thereto; the Retailer agreement between the Retailer and the Division; and any other lawful instructions or directives issued by the Director;
- B. To actively promote the responsible Sale of authorized Colorado Lottery Products, including making them available for Sale at all times when the Gaming System is available and the Retailer is open to the public;
- C. To maintain regular business hours so that the public knows when the Retailer is open to the public and has access to purchase authorized Lottery Products;
- D. To pay Prizes worth less than \$600.00 to the Prize Winner for any Lottery Products Validated by the Retailer. All Products Validated by a Retailer must be paid by that Retailer as follows:
  - 1. To maintain sufficient funds to pay Prizes worth \$150 or less by cash, check, or money order.
  - 2. The Retailer will be prompted at the time of Validation whether to accept the Validation for Prizes greater than \$150 but less than \$600. If a Retailer accepts and Validates the Ticket, the Prize must be paid.
  - 3. Prizes shall be paid during the Retailer's normal business hours, provided the Validation system is operational and claims can be Validated. The Retailer shall not charge the Claimant a fee for payment of a Prize or for cashing a business check drawn on the Retailer's account.
- E. To maintain authorized displays, notices, equipment and other materials used in connection with the Sale of Lottery Products in accordance with reasonable instructions or directives issued by the Director;
- F. To maintain a complete and accurate set of books of account, correspondence and records of all Lottery transactions and operations, including but not limited to the receipt, Sale, handling, scratch inventory (both active and inactive), and returns for credit for all Lottery Products received by Retailer, and any books of account, correspondence, reports and records that may be required for Lottery Products. Books, correspondence and records referencing the Lottery account must be made available during normal business hours, with or without prior notice, to any duly authorized representative of the Lottery for inspection and audit by an auditor selected by the Commission or Director;

- G. To allow announced and/or unannounced inspections of the Licensed Premises by duly authorized representatives of the Division during normal business hours, to determine compliance with the provisions of the Act, Rules and Regulations, instructions and directives of the Director. The compliance inspection may be performed online, via telephone, in person or as otherwise provided by the Division representative. The inspections may be performed annually or in an otherwise determined time frame;
- H. To indemnify and hold the State of Colorado, the Division and the Commission harmless from any and all liabilities, claims, actions, and judgments of any kind or nature arising from or relating to the Retailer's acts or omissions in the course of operating and conducting the Sale of Lottery Products;
- I. To pay an administrative fee, to be determined by the Director, to reimburse the Colorado Lottery for inactive Scratch Tickets that are lost due to negligence or misconduct of the Retailer;
- J. To provide confirmation that the Retailer is not a member of the Lottery Commission, an employee of the Lottery or a current Lottery contractor.
- K. To agree that all Lottery Products shall be deemed to have been Purchased by the Retailer once Activated or Sold, whichever comes first;
- L. To pay a communication and/or administrative fee at the discretion of the Director in an amount to be determined by the Director to cover operational costs to the Lottery in servicing said Retailer account, including a fee assessed for not maintaining sufficient funds in the banking account designated to be swept to pay the Lottery for Lottery Products;
- M. To maintain a secure place for unsold Lottery Products upon instruction or directive by the Director or designee;
- N. To prominently display the Colorado Lottery Retailer license in an area visible to the general public;
- O. To agree that all unclaimed Prizes from all Lottery Products remain the property of the State of Colorado as set forth in C.R.S. 44-40-113 and 40-40-114;
- P. To pay, without reimbursement, all electricity charges in conjunction with the operation of the any equipment related to the Sale of Lottery Products;
- Q. To participate in Lottery training sessions and provide staff training;
- R. To use signage identifying the location as a Lottery Retailer. Nothing herein shall require Retailer to install signage which is in violation of any state, local, or municipal code;

- S. To provide authorization for an account with EFT capability to be used for weekly billing of all Lottery Products;
- T. To maintain a balance in the account sufficient to cover payment due the Lottery for the established billing period. The Lottery shall utilize EFT to withdraw the amount due the Lottery on the day specified by the Director. In the event the day specified for withdrawal occurs on a legal holiday, withdrawal shall occur on the following business day. If an EFT is unsuccessful due to insufficient funds, the Division may sweep the fund for any lesser amount until payment of all outstanding debt has occurred. The Division may assess a fee for late payments;
- U. To Sell Scratch Products in consecutive and numerical order;
- V. To not exchange Lottery Products and/or books with any other Person, including other Retailers;
- W. To play Lottery Products, if so desired, in a responsible and fair manner. Retailers are prohibited from playing Lottery games by using any method other than random, fair chance, or by any method contrary to the principle that every Lottery Ticket has an equal and random chance of winning;
  - 1. To print Jackpot Tickets only on the specific ticket stock issued by the Lottery to the Licensed Premises for that Retailer and not transfer ticket stock to any other outlet or location;
  - 2. To acknowledge that the Gaming Terminal and any and all other supplies, equipment, signage or vending machines issued by the Lottery or a Vendor remain the property of the Lottery or a Vendor. The Retailer shall exercise due diligence in the use and operation of the Gaming Terminal and all other supplies, equipment, signage, and vending machines issued by the Lottery or a Vendor, as well as immediately notify the Lottery or a Vendor about any communications or other systems malfunctions, including, but not limited to, the issuance of an invalid online ticket, inaccurate jackpot amounts being displayed on digital signage, or the inability to generate or redeem an online ticket. The Retailer shall not perform any mechanical or electrical maintenance on the Gaming Terminal or any other supplies, equipment, signage, or vending machines issued by the Lottery or a Lottery Vendor. The Retailer shall not move, alter, or tamper with the Gaming Terminal except as required by the Lottery or a Vendor;
  - 3. To provide, without reimbursement, the full costs of Gaming Terminal installation and hookup charges, as well as any and all charges related to the Sale of Lottery Products as specified by the Lottery;

4. To provide, without reimbursement, any requirement the Lottery deems necessary for the Gaming Terminal or other equipment related to the Sale or promotion of Lottery Products, including, but not limited to maintenance of equipment and payment for electricity and internet. and,

## **2.5 ADA - Americans with Disabilities Act**

- A. To prohibit discrimination, no Retailer shall discriminate against any individual on the basis of disability in the full and equal enjoyment of Lottery-related goods, services, facilities, privileges, or accommodations of a Licensed Premises.
- B. The Americans with Disabilities Act and subsequent amendments thereto applies to all Retailers and is enforced by the United States Department of Justice.

## **2.6 Licensing Disqualifications**

A License shall not be granted to:

- A. Any Person, firms, association, or corporations, whether for profit or non-profit, who will engage in business exclusively as a Lottery sales agent, unrelated to any other commercial business activity.
- B. Any Person, firms, association, or corporations, whether for profit or non-profit, who has provided false or misleading information to the Lottery.
- C. Any Person, firms, association, or corporations, whether for profit or non-profit, who is deemed not financially responsible to operate a business.
- D. Any Person, firms, association, or corporations, whether for profit or non-profit, whose proposed Licensed Premises is a residence or, by reason of its location is not accessible to a sufficient number of Persons so as to reasonably justify the Lottery's expenditure of public monies to provide and deliver Lottery Products, services, and supplies to such a location. In making such a determination, the Director shall consider the possible economic benefit to the State and the convenience to the public to be gained from licensing such Person.
- E. Any Person, firms, association, or corporations, whether for profit or non-profit, whose volume of Lottery Ticket Sales projected or anticipated is such as not to reasonably justify the Lottery's expenditure of public monies to provide and deliver Lottery Products, services, and supplies to such a location, when considering the possible economic benefit and convenience to the public to be gained there from. For the purpose of initial licensing, a projected or anticipated volume of instant game Lottery Ticket Sales must meet the current minimum Sales requirement as determined by the Lottery Director.
- F. Any sole proprietor who is not a resident of the State of Colorado.

- G. Any corporation or limited liability company that is neither incorporated nor authorized to do business in the State of Colorado.
- H. Any partnership, or association, or other type of business entity, in which no general partner(s), member(s), or representative(s) is a resident of the State of Colorado.
- I. Any Person who has been convicted, within ten years of an application, of a felony crime, including but not limited to, robbery, burglary, theft, trespass, criminal mischief, forgery, computer crime, bribery, perjury, offenses related to judicial and other proceedings, telecommunications crimes, racketeering, or the distribution, Sale, manufacturing, dispensation or possession of drugs or drug paraphernalia. Other convictions, whether felony or misdemeanor, may relate to a determination that the Person is not of good character and reputation and may lead to the denial of a license.
- J. Any business entity member that has an outstanding liability with the Division including amounts transferred to Central Collection Services or has been written off by the Division due to bankruptcy or for non-payment.

## **2.7 Bonding Requirement**

No license shall be issued or renewed by the Director, unless the applicant or Retailer is first bonded in such an amount and type as may be required by the Director to protect the State against any monetary loss that may arise from the Retailer's Purchase and Sale of Lottery Products.

Such bonding may take the form of any instrument that is determined by the Director to satisfy the requirements of C.R.S. 44-40-107(1) and 44-40-121.

## **2.8 Limitations on Licenses**

- A. Retailers shall limit the Sale of authorized Lottery Products to the Licensed Premises. A Person must be present on the Licensed Premises to complete the Sale of a Lottery Product.
- B. A Retail license shall terminate unless timely renewed. The Director may limit a Retailer to a particular type of Lottery game or games. A license may be renewed upon the timely payment of a renewal fee and timely submission of a renewal application on a form prescribed by the Director.
- C. The Director shall determine:
  - 1. The length of the Retail license period;
  - 2. Any limitations on the hours and days of Lottery Product Sales;

3. The Licensed Premises where the Sale of Lottery Products shall be remitted;
4. The specific Person, firm, association, or for-profit or non-profit corporation, who is authorized to Sell Lottery Products;
5. The specific Lottery Products that a Retailer is authorized to Sell;
6. The specific sporting, charitable, social, or other special event where Lottery Products may be sold; and,
7. Such other limitations or conditions of licensing as determined by the Director to best serve the public convenience; to promote the Sale of Lottery Products; to protect the security and integrity of the Lottery Products; or as may be otherwise necessary or desirable for the efficient and economical operation and administration of the Lottery.

## **2.9 Non-Transferability of License**

A license issued pursuant to these Rules and Regulations shall not be assignable or transferable. If either the Person who has signed the application for licensure is no longer employed by the Retailer in the capacity stated on the application or if the ownership of the Retailer substantially changes, the Director reserves the right to terminate the license. The Retailer shall notify the Director in writing at least thirty (30) days prior to any such proposed change. A substantial change in ownership shall mean a transfer of ten percent (10%) or more of either the equity of such business, or the decision-making authority thereof.

## **2.10 Duplicate Licenses**

Upon the loss, mutilation or destruction of any license issued by the Director, a duplicate license can be issued. A mutilated license shall be surrendered to the Director upon issuance or denial of a duplicate license. A lost license, when found, must be immediately surrendered to the Director.

## **2.11 Couriers**

- A. No Retailer Shall Sell Lottery Products to a Courier without prior approval from the Division.
- B. The Director has the sole discretion to approve an application by a Retailer to Sell Lottery Products to a Courier. The Director shall consider whether approving the application will promote the integrity and security of the Lottery, including but not limited to whether:

1. The Retailer has not had any documented issues of non-compliance with Lottery Rules or Statutes that indicate that the Retailer would be unfit to handle the additional Sales volume and responsibility that Selling to a Courier would require.
2. The Retailer and the Courier are in compliance with the Act, the Retailer agreement and the Lottery's Rules & Regulations.
3. The Retailer does not owe the Lottery any outstanding debts.
4. The Retailer has verified that the Courier is registered with the Colorado Secretary of State and is in good standing. Review of the Courier's status on the Colorado Secretary of State's website constitutes verification for the purposes of these Rule.
5. The Retailer does not employ a Person who is also employed by a Courier.
6. The Retailer has executed a written contract with the Courier.
7. The Sale and Purchase of Tickets between the Courier and the Retailer occur only on the Retailer's Licensed Premises when the Retailer is open to the public during regular business hours, meaning that an employee of the Courier shall be on the Licensed Premises to Purchase the Lottery Tickets from the Retailer in-person.
8. The Courier is using Play Slips that conform to MUSL standards and has mechanisms in place to ensure the accurate processing of orders for Tickets that are placed by Courier Customers and can provide information on how the Tickets will be stored, tracked, Validated and processed to ensure the Courier Customer receives any Prizes that they are entitled to.
9. The Retailer and the Courier have sufficient safeguards to ensure that any Lottery Tickets Purchased by the Courier on behalf of Courier Customers are being tracked, stored and Validated in a secure manner that ensures the Courier Customer gets any Prizes that they are entitled to by virtue of their Purchase.
10. The Retailer shall not permit any device to be connected to the Gaming System, except as specifically approved in writing, in advance, by the Lottery.
11. The Retailer has attested to and continues to ensure that the Courier is doing the following:
  - a. Not violating the Act or the Lottery's rules;

- b. Undergoing an annual external SOC2 or ISO27001 audit in addition to a financial audit of its operations to ensure integrity in operations and provide evidence thereof and any findings to the Retailer and how they plan to address those findings;
- c. Disclosing all fees charged by the Courier to the Courier Customer for its services in a manner that makes clear that those fees are separate from the Ticket price set by the Commission prior to taking payment from and finalizing the Courier Customer's order;
- d. Not targeting advertisements for Tickets to under-age Persons or Persons who are located outside the state of Colorado or within the designated boundaries of federally recognized Indian lands;
- e. Not using the Lottery's logo without explicit permission from the Director of the Lottery and is not holding itself out as being a licensed Retailer or otherwise affiliated with or acting as an agent of the Lottery;
- f. Has a method to contact the Courier's customer service to attempt to resolve issues, disputes or complaints related to the Courier's services and clearly displays that information to the public and Courier Customers on its website and in its online and mobile platforms;
- g. Utilizing Geolocation on any mobile or electronic device that may be used by a Courier Customer to order Tickets through the Courier in order to verify that the Courier Customer is located within the State of Colorado and not within the designated boundaries of federally recognized Indian lands;
- h. Utilizing KYC or Know Your Customer to verify the identity and age of a prospective customer to prevent account duplication and prohibit minors or other unauthorized Persons from placing orders for Tickets through the Courier;
- i. Securely storing Tickets Purchased on behalf of Courier Customers for 30 days following either the Prize being paid to the Courier Customer for the Ticket or expiration of the time period when the Prize is eligible to be paid, whichever comes first;
- j. Not assessing any fee for the payment of any Prize Amount;
- k. Transfers winning Tickets worth \$600 or more to the Courier Customer to be claimed directly with the Lottery;

- l. Allows Courier Customers to place daily, weekly and monthly limits on their spending and allow the Player to self-exclude themselves from ordering Tickets through the Courier;
  - m. Complying with any responsible gaming controls adopted by the Lottery; and,
  - n. Complying with the Colorado Consumer Privacy Act, C.R.S. 6-1-1301, *et seq.*
- 12. The Retailer agrees to hold the State of Colorado, the Colorado Lottery, its employees, and agents harmless from any and all disputes arising out of the use of the Courier's service for the delivery of Tickets and/or any fees assessed to the Courier Customer associated with the use of the Courier's Service.
- 13. The Retailer has an ongoing duty to ensure that the Courier's operations comply with the requirements of this Rule 2.13 and present any evidence of such compliance to the Lottery upon request.
- 14. The Director in his or her sole discretion may deny, suspend or terminate the Retailer's approval to Sell to a Courier upon an investigation and finding that the Courier poses a threat to the security, integrity or operation of the Lottery or has otherwise violated the Act or the Rules.
- 15. Upon the initial application and annual renewal of the Lottery license, any Retailer affiliated with a Courier must provide, at a minimum, the following certifications and information to the Division:
  - a. The Retailer must identify all affiliations, partnerships, and contracts with Courier(s) to the Division and provide the following information:
    - a) the name of the Person or business serving as the Courier or Courier Service and b) the contact information for the Courier.
  - b. The Retailer must submit annual Sales data and revenue generated from any affiliation with any Couriers for the prior year, including the number of Sales and the revenue for all Sales.
  - c. The Retailer must certify that the Courier(s) with which they are affiliated are complying with Section 2.13(a).
- 16. The Director has the discretion to administratively suspend and/or seek the revocation of the license of a Retailer license pursuant C.R.S. 24-4-105 and 106 if the Retailer who Sells Tickets to a Courier constitutes an operational threat, threat of loss, fraud, or any other action that impacts the security and integrity of the Lottery.

17. The Director may withhold payment of a Prize to investigate whether a Ticket sold to a Courier may have been procured in a manner that violates the security, integrity or operation of the Lottery or otherwise violates the Act or the Rules.

**RULE 2.A [Repealed eff. 09/30/2008]**

**RULE 3 - GENERAL RULES AND REGULATIONS**

**BASIS AND PURPOSE FOR RULE 3**

The purpose of Rule 3 is to establish and provide the general rules and regulations for Lottery Products, including the Purchase, price and payment of Lottery Products. The statutory basis for Rule 3 is found in C.R.S. 44-40-103, 44-40-104, 44-40-107, C.R.S. 44-40-109, and Article 40 of Title 44.

**3.1 Ownership of Tickets not Sold Through Registered Play**

- A. A Lottery Ticket that is not sold through Registered Play is a bearer instrument until signed by the Claimant in the area designated on the Ticket.
- B. Lottery Tickets not sold through Registered Play must be signed by the Prize Winner in order to collect a Prize.
- C. For Lottery Tickets not sold through Registered Play, the Director shall award a Prize only to a natural Person whose signature appears on the Ticket in the designated area. Groups, family units, clubs, or organizations must designate one individual as the Claimant and he or she must sign the Ticket. A Prize will be awarded only to the Claimant.
- D. In the event there is an inconsistency between in the information submitted on a claim form and as shown on the winning Lottery Ticket, the Director shall delay the award of a Prize pending investigation of the inconsistency.
- E. Once a Lottery Ticket not sold through Registered Play is presented and Validated at a Lottery Claims Center, it will not be returned to the Prize Winner, and will remain the property of the Lottery.

**3.2 Player's Obligations**

- A. In purchasing a Lottery Ticket, the Player agrees to comply with all provisions of the Act, Lottery Rules and Regulations and all final decisions, instructions, and directives of the Director.
- B. It shall be the sole responsibility of the Player to verify the accuracy of the game play or plays and other data printed on his or her Ticket.

### **3.3 Sale of Tickets**

- A. A Retailer shall Sell authorized Lottery Products on the Licensed Premises pursuant to the terms and conditions of the Retailer Agreement and the Lottery Rules and Regulations.
- B. Retailers shall Sell Jackpot Tickets to the public during their regular business hours between the hours of 4:30 a.m. and 11:59 p.m. MST Monday through Saturday and 8:00 a.m. and 11:59 p.m. MST on Sunday if those hours are included in the Retailer's normal business hours and when the Gaming System is available.
- C. Retailers shall make Instant Scratch Tickets available for Sale to the public during the Retailer's normal business hours which shall be identified on their application for licensure.
- D. All Ticket Sales are final and the return of a Lottery Ticket after Sale shall not be accepted by the Retailer, unless otherwise directed by the Director, or as set forth in these Rules and Regulations.
- E. The Division may Sell Instant Scratch Games and Jackpot Games, as determined by the Director and consistent with responsible gaming best practices, including but not limited to online, via mobile application, at special events, vending machines and Claims Centers. For sales by the Division that occur outside of a physical location, i.e. online or via mobile application or another manner other than an in-person transaction, shall utilize KYC to verify the age of the Player and Geolocation to verify that the Player is physically present within the State of Colorado and not within the designated boundaries of federally recognized Indian lands at the time that the Courier Customer submits an order for Ticket(s) from a Courier.
- F. A Retailer may be permitted, upon prior written approval of the Director or designee, to use Lottery Products as a means of promoting the Sale of goods and services to the public.
- G. The Director may limit the number of Lottery Tickets that may be Sold at a Retailer as is necessary to protect the security and the integrity of the Lottery.
- H. No device shall be connected to a Gaming Terminal for any reason, except as may be approved by the Division. Unapproved devices may be seized by the Division.

### **3.4 Persons Ineligible to Purchase or Sell Tickets**

- A. No Person under the age of eighteen (18) may Purchase or Sell Lottery Products.

- B. Lottery Tickets may not be Purchased by, and no Prize shall be paid to, any of the following:
1. Members of the Commission or their Immediate Families;
  2. Employees of the Lottery or their Immediate Families, except when authorized by the Director for investigative purposes. But in no event shall such Persons be entitled to payment of a Prize;
  3. Any Key Employee or a member of their Immediate Family; or,
  4. Persons who operate Drawing equipment during a Drawing or officially witness a Drawing and members of their Immediate Family.

### **3.5 Lost or Stolen Tickets**

The Director reserves the right to withhold the award of a Prize, pending the findings of an investigation, when the Ticket presented for Validation has been reported lost or stolen. At the Director's discretion, Tickets that are determined to be stolen will not be paid.

### **3.6 Payment of Prizes**

- A. A Claimant may claim a Prize worth less than \$600 at any Retailer's Licensed Premise during the Retailer's normal business hours and game operation hours for Validation and payment. The Retailer must Validate Tickets and pay Prizes worth \$150.00 or less. The Retailer may Validate Tickets and pay Prizes worth more than \$150 and less than \$600. A Prize shall be paid by the Retailer upon Validation of the Ticket pursuant to Lottery Rules and Regulations and Instant Scratch Game Guidelines, where applicable.
- B. A Claimant may claim a Prize worth any amount by presenting a Ticket at a Lottery Claims Center for Validation and payment.
- C. The Director shall prescribe a digital claims process that allows Claimants to claim Prizes via electronic means, including but not limited to, payment of Prizes through EFT.
- D. The Lottery's claims process for any Prize worth \$600.00 or more, whether electronic or in-person, shall, at a minimum, incorporate the following:
1. Verification that the Claimant is not a Person disqualified by law or by these Rules and Regulations to claim or otherwise accept a Prize from the Lottery;

2. Notification that the Claimant's first name, last initial, city of residence, and Prize amount are public information. This same notification is given to an authorized representative or a Person signing on behalf of a Claimant who has a disability that prevents the Claimant from signing on his/her own behalf; and
  3. Withholding of taxes as required by state and/or federal law; and,
  4. Verification that the Claimant has no outstanding obligations pursuant to C.R.S. 44-40-113(6) and 44-40-114. If the intercept system identifies an outstanding obligation owed by the Claimant, the Prize or a portion thereof shall be withheld from the Claimant to pay any outstanding obligations pursuant to C.R.S. 44-40-113(6) and 44-40-114. No Prize or portion thereof shall be paid to a Claimant until the obligation identified in the intercept system is paid in full.
- E. The Lottery is not liable for any loss that results from a misrepresentation by a Prize Winner or Claimant, or the Person claiming the Prize on the Prize Winner or Claimant's behalf.
- F. The claims and/or Validation process may contain any other provision that the Director or the Director's designee may deem necessary and proper to promote the public interest and trust, and the security and efficient operation of the Lottery.
- G. Payment of a Prize will not occur unless all of the requirements of the claims prescribed by the Lottery Rules and Regulations and the Director have been met.
- H. There is no obligation or duty of the Division, its employees or Retailers, to make any inquiry of the truthfulness of information that is presented as part of the claims process before payment of the Prize to the Prize Winner.
- I. If a Prize is paid in a lump sum, the Prize shall be paid within a reasonable time of Validation.
- J. Any Prize requiring annuitized or installment payments shall be paid as specified in the specific game rules or game guidelines, or as otherwise provided in these Rules and Regulations. In the event of the death of a Claimant during the payment period and upon the petition of the estate of the Claimant (the Estate) to the Lottery, and subject to federal, state or district applicable laws, the Lottery may accelerate the payment of all of the remaining Lottery proceeds to the Estate. If the Lottery makes such a determination, then securities and/or cash held to fund the deceased Claimant's annuitized Prize may be distributed to the Estate. The identification of the securities to fund the annuitized Prize shall be at the sole discretion of the Lottery.

- K. The Director may delay any payment of a Prize in order to review a change of circumstances relative to the Prize awarded, the payee, the claim, or any other matter that is required to promote the integrity and the security of the Lottery. All delayed payments will immediately upon the Director's confirmation that the payee is entitled to such payment; any remaining payments shall be paid per the specific Game Rule.
- L. The Director's decision with respect to the payment of all Prizes shall be final and binding.
- M. The Director reserves the right to request additional information from a Claimant, including disclosure of the location or Person from where the Ticket was Purchased or otherwise obtained.
- N. Payment of any Prize shall be made to the Prize Winner of the Ticket. Any liability of the State, its officers and employees, and the Commission shall terminate upon payment of the Prize.

### **3.6.1 Use of Coupons and Promotional Tickets**

- A. All Coupons and Promotional Tickets are only intended for the public to promote the Lottery. In the event the Lottery uses a promotional partner or Retailer to distribute Coupons or Promotional Tickets, the promotional partner or Retailer must ensure distribution only to the public and return any remaining Coupons or Promotional Tickets to the Lottery.
- B. At no time may Coupons or Promotional Tickets be sold, used to Purchase goods or services, used to pay off Lottery debts or reimburse a Retailer for any loss.
- C. If Coupons or Promotional Tickets shall be redeemable for Lottery Tickets at Retailers, but Retailers shall not Purchase Coupons or Promotional Tickets from any Person.
- D. At no time may a co-promoter or Vendor, who has received a cash payment from the Lottery as part of a promotional agreement, use the cash payment to Purchase Tickets for the promotion that the payment funded.

### **3.6.2 Use of Barcodes for Entry into Promotional Drawings**

- A. The Director may authorize the use of Barcodes to be printed on Jackpot Tickets to promote the Lottery.
- B. A Ticket may have a barcode that allows for entry into Promotional Drawings through the Lottery Mobile Application.

- C. Second chance Drawings are a type of Promotional Drawing that are approved by the Director. If the Purchase of an Instant Scratch Game is eligible for entry into a second chance Drawing, it shall be noted in the Scratch Game Guidelines. However, the second chance Drawing itself is a Promotional Drawing and not a Lottery.
- D. Promotional Drawings are offered at the sole discretion of the Director and details for the Promotional Drawing, including but not limited to, eligibility, determination of winners and fulfillment of Prizes are defined in the Promotional Drawing Guidelines approved by the Director.

### **3.6.3 Redemption of Coupons**

The Commission may from time to time deem it proper to authorize the use of Coupons to promote Lottery Products. In the event such use is authorized by the Commission, Retailers shall comply with all requirements and restrictions specified on the coupon and shall redeem and exchange Coupons for Lottery Tickets only and not for cash.

### **3.7 Director's Discretion**

The Director has the sole discretion to determine if any Prize shall be paid pursuant to the Lottery Rules and Regulations. If no Prize is paid, the Director, at their sole discretion, may authorize a refund for the price of the Lottery Product or replace the disputed Ticket or game with the same or similar Product with the same retail value. This remedy shall be the sole and exclusive remedy available to the Person who Purchased the Lottery Product.

## **RULE 4 - SUSPENSION, REVOCATION, OR NON-RENEWAL OF RETAILER LICENSE**

### **BASIS AND PURPOSE FOR RULE 4**

The purpose of Rule 4 is to provide specific notice of the causes and procedures for the denial, suspension, revocation, or non-renewal of a license to Sell Tickets. The statutory basis for Rule 4 is found in C.R.S. 44-40-107 and 44-40-109.

### **4.1 Mandatory Revocation of License**

A license to Sell Lottery Products shall be denied, revoked upon a finding by the Director that the Retailer:

- A. Has provided false or misleading information to the Lottery;
- B. Has been convicted of any gambling-related offense;
- C. Has endangered the security of the Lottery;

- D. Has been a Person whose character is no longer consistent with the protection of the public interest; or,
- E. Has intentionally refused to pay a Prize in his possession to a Person entitled to receive the Prize.

#### **4.2 Discretionary Denial, Suspension, Revocation or Non-Renewal of License**

A license to Sell Lottery Products may be denied, suspended, revoked or not renewed upon a finding by the Director that the Retailer:

- A. Has changed its business location without properly notifying the Lottery;
- B. Has insufficient Sales volume;
- C. Has failed to remit or has been delinquent remitting money owed to the Lottery;
- D. Has endangered the efficient operation of the Lottery;
- E. Has been convicted of a felony, including but not limited to, robbery, burglary, theft, trespass, criminal mischief, forgery, computer crime, bribery, perjury, offenses related to judicial or other proceedings, telecommunications crimes, racketeering, accounting fraud, or the distribution, Sale, manufacturing, dispensation or possession of drugs or drug paraphernalia. Other convictions, whether felony or misdemeanor, may relate to a determination that the Licensee is a Person whose character is no longer consistent with the protection of the public interest and trust in the Lottery and may lead to the suspension or revocation of a license;
- F. Has any violation of Article 40, Title 44, C.R.S. or any Rule or Regulation adopted pursuant thereto;
- G. Has not reported a change in ownership to the Lottery;
- H. Has failed to comply with any rule established by the Commission, requirement in the Retailer Agreement or any instruction issued by the Director; or,
- I. Has tampered with or attempted to tamper with the Gaming System, Gaming Terminal or any Product.
- J. Fails to make payment of a Validated Prize or makes payment and the payment is dishonored for any reason.
- K. Fails to make payment to the lottery or makes payment to the Lottery and the payment is dishonored for any reason.

#### **4.3 Procedures for Licensing Decisions**

The procedures contained in C.R.S. 24-4-104 and 24-4-105 shall apply to the issuance, renewal, denial, revocation, suspension, limitation and modification of licenses for the Sale of Lottery Tickets. The Director may designate an administrative law judge to take evidence and make findings and report them to the Director.

#### **4.4 Felony Review Panel**

When a felony conviction or a conviction involving fraud is an issue in the issuance, suspension, revocation or renewal of a license, the Director shall cause the initial decision, the Director's determination, and any relevant investigative documents to be delivered to the Felony Review Panel. The Director shall notify the applicant or Licensee of the date on which the Director forwarded the final order and any other material to the Felony Review Panel.

- A. The Executive Director shall be the Chairman of the Felony Review Panel.
- B. Each member of the Felony Review Panel shall notify the Executive Director in writing of the panel member's decision whether to accept or reject the Director's determination within thirty (30) days of the date on which the Director forwarded the determination and any other materials to the Felony Review Panel. If the panel member fails to notify the Executive Director of the Department of Revenue of the panel member's decision within thirty (30) days of the date on which the Director forwarded the determination to the panel, the panel member shall be deemed to have accepted the Director's determination.
- C. If two or more members of the Felony Review Panel accept the Director's determination, the determination shall become the order of the Felony Review Panel. The Executive Director shall notify the Director and the Retailer or the applicant of such acceptance in writing, and the order of the Felony Review Panel shall be deemed final on the date of such written notice.
- D. If two or more members of the Felony Review Panel reject the Director's determination, the Executive Director shall notify the Director and the Retailer or the applicant of such rejection in writing and shall state the reasons for such rejection. The Director shall modify his or her determination, conduct additional proceedings, and/or dismiss the proceeding in accordance with the order of the Felony Review Panel. The Executive Director shall notify the applicant or Licensee and the Division of such modification, additional proceedings, or dismissal in writing.

## **RULE 5 - LOTTERY INSTANT SCRATCH GAMES**

### **BASIS AND PURPOSE OF RULE 5**

The purpose for Rule 5 is to provide details and requirements for the general administration of all Instant Scratch Games. The statutory basis for Rule 5 is found in C.R.S. 44-40-109(1) and (3), 44-40-113 and 44-40-114.

#### **5.1 General Provisions**

Instant Scratch Games shall be conducted and sold pursuant to the Lottery Rules and Regulations, Instant Scratch Game Guidelines, terms and conditions published to Players and any further instructions and directives issued by the Director and/or the Commission.

#### **5.2 Instant Scratch Game Guidelines**

- A. The Commission will adopt Instant Scratch Game Guidelines prior to the Division launching an Instant Scratch Game.
- B. The Instant Scratch Game Guidelines shall be posted on the Division's website and are binding on Players and Claimants for Instant Scratch Games.
- C. The Instant Scratch Game Guidelines shall include, at a minimum, instructions governing the following:
  - 1. The method for determining Instant Scratch Game winners;
  - 2. The establishment of claim periods;
  - 3. The price to play the Instant Scratch Game;
  - 4. The numbers and size of Prizes; and,
  - 5. The method for selecting and Validating Prizes.
- D. In the event of a conflict between the provisions in this Rule 5, the terms and conditions or marketing published to Players, the instructions and directives issued by the Director and/or the Commission and/or the Instant Scratch Game Guidelines, the Scratch Game Guidelines shall control.

#### **5.3 Damaged or Altered Scratch Tickets**

If a Scratch Ticket is mutilated, unreadable, altered, reconstituted, torn, miscut or tampered with in any way, credit will not be issued to the Scratch Ticket Holder, unless the Director or designee is satisfied that the Scratch Ticket is genuine. Scratch Tickets submitted to the Lottery for credit becomes the property of the Lottery and the Scratch Ticket becomes invalid and ineligible for a Prize.

#### **5.4 Validation Requirements for Scratch Tickets**

- A. To be a valid and winning Scratch Ticket, all of the following conditions must be met:
1. The Scratch Ticket must have a complete Barcode that can be scanned and read by the Barcode Reader;
  2. The Scratch Ticket must have been issued by an authorized Retailer or the Lottery and Purchased in an authorized manner;
  3. The Scratch Ticket must not have been stolen, acquired illegally, or appear on any list of omitted Scratch Tickets at the Lottery;
  4. The Scratch Ticket must meet all Validation requirements in the Instant Scratch Game Guidelines;
  5. The Validation Number on the Scratch Ticket must appear in the Validation file;
  6. The Scratch Ticket must have a Validation Number that indicates a Prize has not previously been paid.
  7. No portion of the Scratch Ticket may be blank and the Ticket may not be mis-registered, defective, or printed/produced in error; and
  8. The Scratch Ticket must pass all other confidential security checks of the Lottery.
- B. Other Instant Scratch Games shall be Validated through a means acceptable to the Director.
- C. In the event a defective Scratch Ticket is Purchased, the only responsibility or liability of the Lottery or the Retailer shall be the replacement of the defective Ticket with another Ticket of an equivalent Purchase price from any current Instant Scratch Game.

#### **5.5 Termination Date and Claims Period**

- A. Unless otherwise stated in the Game Guidelines, the Director will announce an end-of-game date for each Scratch Ticket, after which date no further Tickets for that game shall be issued or activated.
1. All Scratch Tickets must be claimed within one hundred and eighty (180) days after the announced end-of-game date. The claim period may be extended at the Director's discretion in the event of Force Majeure.

2. Any Person who fails to claim a Prize during the one hundred and eighty (180) day claim period shall forfeit all rights to the Prize and the amount of the Prize shall remain in the Prize Fund.
  3. Prizes claimed by mail must be documented as received by the Lottery by the one hundred and eightieth (180th) day after the announced end-of-game date.
- B. For all other Instant Scratch Games, the Instant Scratch Game Guidelines shall determine the claims period and how the game shall be terminated.

#### **5.6 Determination of Scratch Ticket Prize Winners**

- A. Prize Winners for Instant Scratch Tickets shall be determined as set forth in the specific Instant Scratch Game Guidelines and, if applicable, Instant Scratch Game Drawing Guideline.
- B. The number of times a Person may win on a single Scratch Ticket shall be set forth in the specific Instant Scratch Game Guidelines.
- C. The determination of Prize Winners shall be subject to the general Scratch Ticket Validation requirements set forth on the back of each Scratch Ticket and as set forth in the Instant Scratch Game Guidelines and, if applicable, the specific Instant Scratch Game Drawing Guidelines.

#### **5.7 Lost or Stolen Scratch Tickets**

If a Scratch Ticket has been reported as lost or stolen, the Director reserves the right to withhold payment of a Prize pending an investigation. At the Director's discretion, Scratch Tickets that are determined to be stolen will not be paid.

#### **5.8 Director's Discretion**

The Director has the sole discretion to determine if a Prize shall be paid pursuant to this Rule 5. If no Prize is paid, the Director, at their sole discretion, may replace the disputed Ticket with an un-played, equivalent Scratch Ticket of the same game or a ticket of equivalent purchase price from any other current Scratch Ticket game. This remedy shall be the sole and exclusive remedy of the bearer of the Ticket.

### **RULE 6 - ETHICAL OBLITATIONS OF COMMISSION**

#### **BASIS AND PURPOSE OF RULE 6**

The purpose of Rule 6 is to provide specific guidelines in compliance with C.R.S. 44-40-110(1)(f) regarding ethics. The statutory basis for Rule 6 is found in C.R.S. 44-40-108 and 44-40-109.

## **6.1 Purpose**

Public confidence in the integrity of state government demands that public officials demonstrate the highest ethical standards at all times. Those who serve the people of the State of Colorado as public officials should do so with integrity and honesty, and should discharge their duties in an independent and impartial manner. At the same time, qualified individuals should be encouraged to serve in state government and have reasonable opportunities with all citizens to develop private economic and social interests. This Rule strives to accomplish these ends by providing standards by which the conduct of all who serve on the Colorado Lottery Commission for the Colorado Department of Revenue can be measured.

## **6.2 Code of Ethics**

All appointees of the Commission:

- A. Shall serve the public with respect, concern, courtesy and responsiveness;
- B. Shall demonstrate the highest standards of personal integrity, truthfulness and honesty and shall through Personal conduct inspire public confidence and trust in government;
- C. Shall not use public office to bestow any preferential benefit on anyone related to the appointee by family, business or social relationship;
- D. Shall not disclose or use or allow others to use confidential information acquired by virtue of their service on the Commission;
- E. Shall not accept any compensation, gift, payment of expenses, or any other thing of value offered, except as permitted by state law;.
- F. Shall not use state time, property, equipment or supplies for private gain;
- G. Shall not knowingly engage in any activity or business which creates a conflict of interest or has an adverse effect on the confidence of the public in the integrity of government;
- H. Shall carry out all duties as a public servant by exposing corruption or impropriety in government whenever discovered; and,
- I. Shall comply at all times with the standards of conduct set forth in title 24, article 18 of the Colorado Revised Statutes.

## **6.3 Certification of Review and Compliance**

- A. All members of the Commission shall submit to the Executive Director's Office within 30 days of initial appointment to the Commission, a signed form verifying that they have read and intend to abide by this Code of Ethics.

- B. All members of the Commission shall submit to the Executive Director's Office within 30 days of initial appointment, and on or before January 30th of each year, a form disclosing any potential conflict of interest. Additionally, members of the Commission shall amend their annual statement not more than 30 days after any conflict of interest arises.

**RULE 9 [Repealed eff. 09/30/2008]**

**RULE 10 - IN-STATE JACKPOT GAMES**

**BASIS AND PURPOSE OF RULE 10**

The purpose for Rule 10 is to provide general details and requirements for In-state Jackpot Games related to the sale of Tickets, payment of Prizes, and the method for selecting and Validating winning Tickets. The statutory basis for Rule 10 is found in C.R.S. 44-40-101(5), 44-40-109(1)(a) and (2), 44-40-113, and 44-40-114.

**10.1 General Provisions**

All In-state Jackpot Games will be conducted pursuant to the following Rules and Regulations and such further instructions and directives as the Director and Commission may issue.

**10.2 Sale of Tickets & Payment of Prizes for In-state Jackpot Games**

- A. The purchase price of an In-state Jackpot Ticket is set forth in the specific Game Rules.
- B. The Prize Amounts or total amount of Prize money allocated to the Prize Categories for In-state Jackpot Games shall be set forth in the specific Game Rules.
- C. In the event the Prize Expense for an In-state Jackpot Game is less than the Commission approved in the Aggregate Prize Fund for a specific game, the Director may authorize the difference to be used to increase Prize Amounts or pay Additional Lottery Prizes for that game.
- D. An In-state Jackpot Ticket shall be the only acceptable evidence of the combination of numbers selected for the purposes of claiming a Prize.

**10.3 In-state Jackpot Drawings**

- A. The manner and frequency of Drawings for In-state Jackpot Games, including location, date and time, shall be determined by and in accordance with the specific Game Rules, except that the Drawing may be rescheduled at the Director or designee's discretion in the event of a Force Majeure.
- B. The Director shall determine the Draw Break for each In-state Jackpot Game.

- C. The Lottery shall designate the type of equipment to be used and shall establish Drawing procedures to randomly select the Winning Combination for each In-state Jackpot Drawing.
- D. All In-state Jackpot Drawings, inspections and tests shall be recorded on videotape.
- E. An In-state Jackpot Game Drawing shall not be invalidated on sole the basis that the numbers drawn create excessive Prize liability for the Lottery, unless otherwise specified in the Game Rules.
- F. An independent auditor, as required in C.R.S. 44-40-109(2)(d), will observe and certify each In-state Jackpot Drawing.
  - 1. The auditor must submit a report in a timely manner that documents compliance or non-compliance with the Drawing procedures. For each instance of non-compliance with Drawing procedures, the report must identify the discrepancy, the risk associated with the discrepancy and any recommendations to better ensure the Drawing procedures are followed in the future. The auditor's report shall become a part of the Lottery's Drawing records and maintained in accordance with the Lottery's records retention policy. Reports that identify an instance of non-compliance with the Drawing procedures must also be distributed to the appropriate Lottery personnel, including the Lottery Director and the Director of Security.
  - 2. All Drawing equipment used for an In-state Jackpot Drawing shall be examined by the auditor at the In-state Drawing Site once within thirty (30) minutes before a Drawing and once within thirty (30) minutes after the Drawing.
  - 3. Drawing results are not official until certified by the auditor.

#### **10.4 Cancellation and Return of In-state Jackpot Tickets**

- A. Except as otherwise provided in the specific Game Rules, a Retailer may not cancel In-state Jackpot Tickets.
- B. If cancellation is permitted by the specific Game Rules, a Player may only return an In-state Jackpot Ticket and receive a refund of the Purchase price upon cancellation of the Ticket if the following criteria are met:
  - 1. The Ticket was Purchased in-person from a Retailer or the Division;
  - 2. The In-state Jackpot Ticket is legible and is returned to the same location from where it was Purchased.
  - 3. It is returned within one (1) hour of Purchase;

4. The Gaming System is available for wagering; and,
5. The Gaming System has not converted to the next Drawing period.

### **10.5 Damaged or Altered In-state Jackpot Tickets**

If an In-state Jackpot Ticket is mutilated, unreadable, altered, reconstituted, torn, miscut or tampered with in any way, credit will not be issued to the Ticket Holder, unless the Director or designee is satisfied that the Ticket is genuine. In-state Jackpot Tickets submitted to the Lottery for credit become the property of the Lottery the Ticket becomes invalid and ineligible for a Prize.

### **10.6 Validation Requirements for In-state Jackpot Tickets**

- A. To be a valid winning In-state Jackpot Ticket, all of the following conditions must be met:
  1. All printing on the Ticket shall be present in its entirety, be legible, and correspond to the Gaming System Record;
  2. The Ticket must be intact;
  3. The Ticket must not be mutilated, altered, or tampered with in any manner;
  4. The Ticket must not be counterfeit or an exact duplicate of another winning ticket;
  5. The Ticket must have been issued by an authorized Jackpot GameRetailer or the Division in an authorized manner;
  6. The Ticket must not have been acquired illegally;
  7. The Ticket must not have been canceled or previously paid; and
  8. The Ticket must pass all other confidential security checks of the Lottery.
- B. Any Ticket failing one of the Validation requirements listed in Rule 10.6(A) is invalid and the Claimant is ineligible for a Prize, unless the Director authorizes award of a Prize on the grounds that the Ticket can be Validated through another method to confirm its authenticity.
- C. In the event a Jackpot Ticket is defective at the time of Purchase, the only responsibility or liability of the Lottery or the Retailer shall be the replacement of the defective Jackpot Ticket with another Jackpot Ticket of the same retail value or refund of the Purchase price.

## **10.7 Time to Claim an In-state Jackpot Ticket Prize**

An In-state Jackpot Game Prize must be claimed no later than one hundred and eighty (180) days after the Drawing for which the Ticket was Purchased. Any Person who fails to claim a Prize during the one hundred and eighty (180) day claim period shall forfeit all rights to the Prize and the amount of the Prize shall remain in the Lottery Fund. Prizes claimed by mail must be documented as received by the Lottery by the one hundred and eightieth (180th) day after the announced end-of-game date.

## **RULE 10.A “COLORADO LOTTO+” GAME RULES**

### **BASIS AND PURPOSE OF RULE 10.A**

The purpose of Rule 10.A is to provide details, instructions and requirements for the In-state Jackpot Game “Colorado Lotto+, including the “Plus” option which is available as an add-on at additional cost. The statutory basis for Rule 10.A is found in C.R.S. 44-40-109 (1)(a) and (2), 44-40-113 and 44-40-114.

### **10.A.1 General Provisions**

The In-state Jackpot Game to be known as “Colorado Lotto+” including the Plus option shall be conducted pursuant to the following Rules and Regulations and under such further instructions and directives as the and Commission may issue. If a conflict arises between another provision of the Lottery Rules and Regulations and this Rule 10.A, Rule 10.A shall apply.

### **10.A.2 Definitions**

In addition to the definitions provided in Rule 1.1, the following Definitions apply to this Rule 10.A.:

- A. “Game Board” means that area of the Play Slip where the grid contains forty (40) squares, numbers one (1) through forty (40).
- B. “Jackpot Prize” means a pari-mutuel Prize that is advertised to be paid with per-winner annuities or as a lump sum cash payment, unless otherwise specified by the Lottery.
- C. “Number” means any Play integer from one (1) through forty (40) inclusive.
- D. “Play” means the six (6) numbers selected on each Game Board and displayed on the Ticket.
- E. “Roll-over” means the amount from the direct Prize Category contribution from previous Drawing(s) in the Jackpot Prize Category that is carried forward to the Jackpot Prize Category for the next Drawing.

**10.A.3 Price of “Colorado Lotto+” Ticket**

The price of each “Colorado Lotto+” Play shall be Two Dollars (\$2.00).

**10.A.4 Play for “Colorado Lotto+”**

- A. A “Colorado Lotto+” Player must select six (6) numbers per Play; six (6) numbers out of forty (40). A winning Play is achieved only when the following combinations of numbers selected match, in any order, three (3), four (4), five (5), or six (6) of the winning Numbers drawn by the Lottery.
- B. The Player can use Play Slips to make number selections. The Gaming Terminal reads the Play Slip and issues a Ticket with corresponding Play(s). If a Play Slip is not available, the Retailer may enter the selected numbers manually via the keyboard. If offered by the Lottery, a Player may leave all or a portion of his/her Play selections to a random number generator operated by the terminal, commonly referred to as a Quick Pick or partial Quick Pick.
- C. Each “Colorado Lotto+” Ticket has a randomly selected multiplier value of 2X, 3X, 4X, or 5X that applies to all non-Jackpot Prizes.

**10.A.5 Prizes For “Colorado Lotto+”**

- A. The Prize shall be determined on a pari-mutuel basis. The Prize money allocated to the Jackpot Prize Category shall be divided equally by the number of Plays matching all six (6) of the winning Numbers. All other Prizes awarded shall be paid as set Prizes with the following odds of winning a Prize.

| WINNING COMBINATIONS            | BASE PRIZE CATEGORY | 2X PRIZE CATEGORY | 3X PRIZE CATEGORY | 4X PRIZE CATEGORY | 5X PRIZE CATEGORY | ODDS OF WINNING |
|---------------------------------|---------------------|-------------------|-------------------|-------------------|-------------------|-----------------|
| All six (6) numbers in a Play   | Jackpot             | N/A               | N/A               | N/A               | N/A               | 1 in 3,838,380  |
| Any five (5) numbers in a Play  | \$250               | \$500             | \$750             | \$1,000           | \$1,250           | 1 in 18,816     |
| Any four (4) numbers in a Play  | \$25                | \$50              | \$75              | \$100             | \$125             | 1 in 456        |
| Any three (3) numbers in a Play | \$3                 | \$6               | \$9               | \$12              | \$15              | 1 in 32         |
| MULTIPLIER ODDS                 | N/A                 | 1 in 2            | 3 in 10           | 1 in 10           | 1 in 10           | N/A             |
| OVERALL ODDS                    |                     |                   |                   |                   |                   | 1 in 30         |

- B. The projected aggregate Prizes as a percentage of sales for “Colorado Lotto” is fifty-five (55.5%). This projection does not include unclaimed Prizes.
- C. Prize Categories
1. Jackpot Prize – The Jackpot will start at an annuitized value of One Million Dollars (\$1,000,000) for the first Drawing after it is won. The total Prize Category contribution for a Drawing may include the following:
    - a. A direct Prize Category contribution of twenty-five percent (25%) of Net Sales for the Drawing, which may be adjusted as authorized by the Director.

- b. A base contribution of \$500,000. The “Colorado Lotto” base contribution may be adjusted as authorized by the Director if increased sales warrant a higher starting jackpot.
  - c. A Roll-over contribution.
  - d. An indirect Prize Category contribution authorized by the Director.
- 2. Second Prize – The second Prize Category may include the following:
  - a. The set base Prize Amount (\$250) times the number of Shares for the Prize Category.
  - b. An indirect Prize Category contribution as authorized by the Director.
  - c. The Prize Amount shall be calculated by multiplying the base Prize Amount (\$250) times the multiplier value displayed on the winning Ticket.
- 3. Third Prize – The third Prize Category may include the following:
  - a. The set base Prize Amount (\$25) times the number of Shares for the Prize Category.
  - b. An indirect Prize Category contribution as authorized by the Director.
  - c. A Prize Amount shall be calculated by multiplying the base Prize Amount (\$25) times the multiplier value displayed on the winning Ticket.
- 4. Fourth Prize – The fourth Prize Category may include the following:
  - a. The set base Prize Amount (\$3) times the number of Shares for the Prize Category.
  - b. An indirect Prize Category contribution as authorized by the Director.
  - c. A Prize Amount shall be calculated by multiplying the base Prize Amount (\$3) times the multiplier value displayed on the winning Ticket.

**10.A.6 Payment of Prizes for Colorado Lotto+**

- A. The holder of a winning Ticket for the Colorado Lotto+ may win only one Prize per Play in connection with the winning Numbers drawn and shall be entitled only to the highest Prize Category won by those Numbers.

- B. Prize Winners will be given the option of receiving their Share of the Jackpot Prize over a period of twenty-four (24) years through a fixed progressive twenty-four (24) year annuity with the initial payment made by the Lottery on the date of claim and twenty-four (24) additional payments made yearly on the anniversary of the first payment, or a one-time lump sum payment equal to fifty percent (50%) of their Share of the annuitized Jackpot Prize Amount.
- C. The annuitized future value of the Jackpot Prize Category shall be twice the cash value of the total Jackpot Prize Category contribution as defined in section 10.A.5.C.1.
- D. To determine the annuitized future value of each Prize Amount, the annuitized future value of the Prize Category is divided by the Shares. A Share is the matching combination, in one Play, of all six (6) numbers drawn (in any sequence).
- E. If the annuitized future value of each Prize Amount results in an initial payment of Ten Thousand Dollars (\$10,000) or more and the annuity option has been selected, the Prize Amount shall be a fixed progressive twenty-five (25) year annuity. The initial annuity payment shall be paid by the Lottery at the time of claim and be 2.5% of the future value of the annuity. Each subsequent annual payment; two (2) through twenty-five (25) shall increase by 3.7% of the previous annual payment.
- F. Players who select the annuitized payment shall have the ability to change their Prize payment selection from annuitized payment to lump sum payment for up to ninety days (90) from the original date of claim. This period may be extended at the discretion of the Director or designee. If a Player chooses the lump sum payment after the initial annuitized payment is made to the Player by the Lottery, the Player will receive the remaining amount of the original cash value Prize, less taxes, in a single second payment.
- G. If the annuitized future value of any Prize Amount results in an initial payment of less than Ten Thousand Dollars (\$10,000) to a Claimant, then the annuity option will not be allowed and the Prize Amount will be paid in a one-time lump sum payment equal to fifty percent (50%) of the Claimant's Share of the annuitized Jackpot Prize Amount.

**10.A.7 "Colorado Lotto+" Drawings**

- A. Drawings for the Colorado Lotto+ shall be held each week on Monday, Wednesday and Saturday evenings, unless the schedule is changed by the Lottery.
- B. The Drawings will be conducted by Lottery officials and comply with all Colorado Lottery Statutes, Rules and Regulations, and Drawing procedures. Each Drawing shall determine, at random, six (6) winning Numbers. The winning Numbers shall be used in determining all "Colorado Lotto+" Prize Winners for that Drawing.

**10.A.8 Price and Selection of “Plus” Add-on Option**

- A. The In-state Jackpot Game to be known as “Colorado Lotto+” shall have a game option known as “Plus” which allows Players to pay an additional one dollar (\$1.00) for a chance to win in a second Drawing using the same six (6) Numbers as the “Colorado Lotto+” Play.
- B. A Player of a “Colorado Lotto+” Ticket must choose, at the time of Purchase, whether or not they want the “Plus” option. If the Player chooses the “Plus” option for the Ticket, the additional cost for each “Colorado Lotto+” Play will be one dollar (\$1.00) in addition to the base price of the “Colorado Lotto+” Ticket.
- C. The “Plus” option applies to all boards on a single Ticket and cannot be Purchased on a board-by-board basis. A “Colorado Lotto+” Ticket with the “Plus” option shall show, at a minimum, the Player’s selection of Numbers, the number of Plays, the Drawing date, the multiplier number, and Validation Numbers.
- D. A Player using a Play Slip can select the option of “Plus” to be eligible in the “Plus” Drawing. If a Play Slip is not available, the Retailer may select the “Plus” option via the keyboard at the time the “Colorado Lotto+” Ticket is generated.
- E. A Player may Purchase up to ten (10) “Colorado Lotto+” Plays with ten (10) “Plus” Plays as an add-on to a single Colorado Lotto+ Ticket.

**10.A.9 Play for “Plus” Add-on Option**

- A. The six (6) Numbers out of forty (40) Numbers that were selected for the “Colorado Lotto+” Play will be eligible to win in a “Plus” Drawing. A winning “Plus” Play is achieved only when the following combinations of Numbers selected match, in any order, three (3), four (4), five (5), or six (6) of the winning Numbers drawn by the Lottery.
- B. The randomly selected multiplier value of 2X, 3X, 4X, or 5X that applies to the “Colorado Lotto+” Play non-jackpot Prizes will also apply to all “Plus” non-jackpot Prizes.
- C. A Player may Purchase up to ten (10) “Colorado Lotto+” Plays with ten (10) “Plus” Plays as an add-on to a single Colorado Lotto+ Ticket.

**10.A.10 “Plus” Add-on Option Prizes and Odds**

- A. In addition to any Prize won in the first “Colorado Lotto+” Drawing, the holder of a winning “Colorado Lotto+” with “Plus” Ticket may win only one (1) “Plus” Prize per Play in connection with the winning Numbers drawn in the second “Plus” Drawing and shall be entitled only to the highest Prize Category won by those Numbers.

- B. All Prizes awarded, except as defined in 10.A.12, shall be paid as set Prizes with the foregoing odds of winning a Prize.

| WINNING COMBINATIONS            | BASE PRIZE CATEGORY | 2X PRIZE CATEGORY | 3X PRIZE CATEGORY | 4X PRIZE CATEGORY | 5X PRIZE CATEGORY | ODDS OF WINNING |
|---------------------------------|---------------------|-------------------|-------------------|-------------------|-------------------|-----------------|
| All six (6) Numbers in a Play   | \$250,000           | N/A               | N/A               | N/A               | N/A               | 1 in 3,838,380  |
| Any five (5) Numbers in a Play  | \$300               | \$600             | \$900             | \$1,200           | \$1,500           | 1 in 18,816     |
| Any four (4) Numbers in a Play  | \$30                | \$60              | \$90              | \$120             | \$150             | 1 in 456        |
| Any three (3) Numbers in a Play | \$4                 | \$8               | \$12              | \$16              | \$20              | 1 in 32         |
| MULTIPLIER ODDS                 | N/A                 | 1 in 2            | 3 in 10           | 1 in 10           | 1 in 10           | N/A             |
| OVERALL ODDS                    |                     |                   |                   |                   |                   | 1 in 30         |

**10.A.11 “Plus” Drawings**

- A. The “Plus” Drawing shall be held each week on Monday, Wednesday and Saturday evenings following the “Colorado Lotto+ Drawing,” unless the schedule is changed by the Lottery.
- B. The Drawings will be conducted by Lottery officials and comply with all Colorado Lottery Statutes, Rules and Regulations, and Drawing procedures.
- C. Each Drawing shall determine, at random, six (6) winning Numbers. The winning Numbers shall be used in determining all “Plus” Winners for that Drawing.
- D. Any Numbers drawn are not declared winning Numbers until the Drawing is certified pursuant to Rule 10.4.F. If a Drawing is not certified, another Drawing will be conducted to determine Prize Winners.

**10.A.12 Payment of Prizes for the “Plus” Drawings**

- A. The Jackpot Prize shall be a set Prize for one (1) to eight (8) Prize Winners in a single Drawing.
- B. Nine (9) or more Jackpot Prize Winners in a single Drawing will equally divide Two Million Dollars (\$2,000,000) by the number of Plays matching all six (6) of the winning Numbers.
- C. All Prizes are paid in a single cash payment equal to the value of the Prize.

**10.A.13 Sale of Colorado Lotto+ Tickets with “Plus” Option**

- A. “Colorado Lotto+” Tickets, with or without the “Plus” option, may only be Purchased from a Retailer authorized to Sell In-state Jackpot Tickets or directly from the Division.
- B. “Colorado Lotto+” Tickets, with or without the “Plus” option, shall show, at a minimum, the Player’s selection of numbers, the number of Plays, the Drawing date, and Validation Numbers.
- C. “Colorado Lotto+” Plays Purchased at a Retailer or directly from the Division may be entered manually using the Gaming Terminal keypad or by means of a Play Slip provided by the Lottery. To select the “Plus” Play can be selected on a Play Slip option of “Plus” to be eligible in the “Plus” Drawing. If a Play Slip is not available, the Retailer may select the “Plus” option via the keyboard at the time the “Colorado Lotto+” Ticket is generated.

**10.A.14 Advance Play**

Advance Play provides the opportunity to Purchase “Colorado Lotto+” Tickets, with or without the Plus option, for more than one (1) consecutive Drawing. Advance Play Tickets shall be available for Purchase in variable increments. The Advance Play feature shall be available at the discretion of the Director.

**RULE 10.B “PICK 3” GAME RULES**

**BASIS AND PURPOSE FOR RULE 10.B**

The purpose of Rule 10.B is to provide specific game details, instructions and requirements for the In-state Jackpot Game “Pick 3” such as type of play, Prizes, method of selecting winning numbers, Drawings, and the allocation of revenues. The statutory basis for Rule 10.B is found in C.R.S. 44-40-109 (1) (a) and (2), 44-40-113 and 44-40-114.

### **10.B.1 General Provisions**

A Colorado Lottery Jackpot game to be known as “Pick 3” is authorized to be conducted by the Director under the following Rules and Regulations and under such further instructions and directives as the Director may issue in furtherance thereof. If a conflict arises between another provision of the Lottery’s Rules and Regulations, this Rule 10.B, Rule 10.B shall apply.

### **10.B.2 Definitions**

In addition to the definitions provided in Paragraph 1.1 of Rule 1 and Rule 10:

- A. “Board” means a field of three (3) matrixes of ten (10) numbers found on the Play Slip.
- B. “Matrix” means the grid of numbers comprised of ten (10) numbers (0 - 9) from which Pick 3 game numbers are selected.
- C. “Maximum Liability” means a combination of numbers will be considered sold out when the liability for the combination in exact play style reaches one thousand (1,000) combinations sold.
- D. “Number” means any play integer from 0 through 9 inclusive.
- E. A “Play” shall consist of three (3) numbers selected by the player or Quick Pick.
- F. “Play Slip” means a mark-sense game card used by players of Pick 3 to select Plays. There shall be five (5) game boards on each Play Slip identified as A, B, C, D and E. A Play Slip has no pecuniary value and shall not constitute evidence of ticket purchase or of numbers selected.
- G. “Prize Category Contribution” means and refers to contributions for each drawing to the prize categories from the prize pool.
- H. “Quick Pick” means a computer-generated selection of one (1), two (2), or three (3) numbers.
- I. “Ticket” contains one (1) to five (5) play(s).

**10.B.3 Price of Pick 3 Ticket**

The price of each Pick 3 play shall be fifty cents (\$0.50). Tickets may be Purchased in fifty cent (\$0.50) increments and beginning April 27, 2014, may be Purchased in any of the following combinations:

|    |                          |                   |                                        |
|----|--------------------------|-------------------|----------------------------------------|
| A. | Exact Order 1 Play       | Base price \$0.50 | Optional prices \$1.00, \$2.00, \$5.00 |
| B. | Any Order (6-way) 1 Play | Base price \$0.50 | Optional prices \$1.00, \$2.00, \$5.00 |
| C. | Any Order (3-way) 1 Play | Base price \$0.50 | Optional prices \$1.00, \$2.00, \$5.00 |
| D. | Exact/Any Order 2 Plays  | Base Price \$1.00 | Optional prices \$2.00, \$5.00         |
|    | 1. Exact Order (6-way)   |                   |                                        |
|    | 2. Any Order (6-way)     |                   |                                        |
| E. | Exact/Any Order 2 Plays  | Base Price \$1.00 | Optional prices \$2.00, \$5.00         |
|    | 1. Exact Order (3-way)   |                   |                                        |
|    | 2. Any Order (3-way)     |                   |                                        |
| F. | Front Pair 1 Play        | Base price \$0.50 | Optional prices \$1.00, \$2.00, \$5.00 |
| G. | Back Pair 1 Play         | Base price \$0.50 | Optional prices \$1.00, \$2.00, \$5.00 |

**10.B.4 Play for Pick 3**

- A. Pick 3 play shall consist of three (3) numbers.
- B. Method of play:
  - 1. The Player may select three (3) numbers from a field of numbers, 0 – 9 inclusive. The selected numbers may be three (3) separate individual numbers or an individual number may be repeated two (2) or three (3) times in a single play. Examples of single plays are:
    - a. Individual numbers selected - (1, 3, 5)
    - b. Two numbers repeated – (1,1,5) (1,5,1) (5,1,1)
    - c. Three numbers repeated (1,1,1)
  - 2. The Player will select a bet type:

- a. Exact Order - Equals one (1) play. Player selects either three (3) unique numbers, one (1) unique number and two (2) numbers repeated, or three (3) numbers repeated from the field of zero through nine (0-9), inclusive.
    - b. Any Order (6-way) – Equals one (1) play. Player selects three (3) unique numbers from the field of zero through nine (0-9), inclusive.
    - c. Any Order (3-way) – Equals one (1) play. Player selects one (1) unique number and two (2) numbers repeated from the field of zero through nine (0-9), inclusive.
    - d. Exact Order/Any Order (6-way) - Equals two (2) plays. Player selects three (3) unique numbers from the field of zero through nine (0-9), inclusive.
    - e. Exact Order/Any Order (3-way) - Equals two (2) plays. Player selects one (1) unique number and two (2) repeated numbers from the field of zero through nine (0-9), inclusive.
    - f. Front Pair - Equals one (1) play. Player selects either three (3) unique numbers, one (1) unique number and two (2) repeated numbers, or three (3) repeated numbers from the field of zero through nine (0-9), inclusive.
    - g. Back Pair - Equals one (1) play. Player selects either three (3) unique numbers, one (1) unique number and two (2) repeated numbers, or three (3) repeated numbers from the field of zero through nine (0-9), inclusive.
  3. The Player may use Play Slips to make number selections. The Game Terminal will read the Play Slip and issue Ticket(s) with corresponding Plays. If a Play Slip is not available, the Retailer or Lottery may enter the selected numbers manually via the keyboard on the Gaming Terminal. A Player may leave all or a portion of his/her play selections to Quick Pick.
- C. Methods of winning
1. Exact Order – The Player-Selected three (3) numbers match the Lottery numbers drawn in the exact same order
  2. Any Order – The Player-Selected three (3) numbers match the Lottery numbers drawn in any order
  3. Exact Order/Any Order – The Player-Selected three (3) numbers match the Lottery numbers drawn in exact order or any order

4. Front Pair - The first two (2) Player-Selected numbers match the first two (2) Lottery numbers drawn in exact order
5. Back Pair - The last two (2) Player-Selected numbers match the last two (2) Lottery numbers drawn in exact order

**10.B.5 Prizes For Pick 3**

- A. Pick 3 Prize Amounts, for each Drawing, are paid to those Players who select a matching combination of numbers from the three (3) numbers selected by the Lottery in a random Drawing. The Prize Amounts for each Prize Category and odds of winning are as follows:

| TYPE                                          | Odds   | If You Play | Winning Combinations       | \$0.50 | \$1.00 | \$2.00  | \$5.00  |
|-----------------------------------------------|--------|-------------|----------------------------|--------|--------|---------|---------|
| Exact Order                                   | 1:1000 | 567         | 567                        | \$250  | \$500  | \$1,000 | \$2,500 |
| <b>Any Order</b> (6-way) 3 unique numbers     | 1:167  | 567         | 567 576 657<br>675 756 765 | \$40   | \$80   | \$160   | \$400   |
| <b>Any Order</b> (3-way) 2 of the same number | 1:333  | 566         | 566 656 665                | \$80   | \$160  | \$320   | \$800   |
| Exact Order/Any Order (6-way exact order)     | 1:1000 | 567         | 567                        | N/A    | \$250  | \$500   | \$1250  |
| Exact Order/Any Order (6-way any order)       | 1:167  | 567         | 567 576 657<br>675 756 765 | N/A    | \$40   | \$80    | \$200   |
| Exact Order/Any Order (3-way exact order)     | 1:1000 | 566         | 566                        | N/A    | \$250  | \$500   | \$1250  |
| Exact                                         | 1:333  | 566         | 566 656 665                | N/A    | \$80   | \$160   | \$400   |

| TYPE                              | Odds  | If You Play | Winning Combinations                             | \$0.50 | \$1.00 | \$2.00 | \$5.00 |
|-----------------------------------|-------|-------------|--------------------------------------------------|--------|--------|--------|--------|
| Order/Any Order (3-way any order) |       |             |                                                  |        |        |        |        |
| Front Pair                        | 1:100 | 56x         | 560 561 562<br>563 564 565<br>566 567 568<br>569 | \$30   | \$60   | \$120  | \$300  |
| Back Pair                         | 1:100 | X65         | 065 165 265<br>365 465 565<br>665 765 865<br>965 | \$30   | \$60   | \$120  | \$300  |

- B. The maximum total liability for exact play style match is reached when a single combination is Purchased one thousand (1,000) times. No additional exact combinations may be sold once the one thousand (1,000) limit is reached ( e. 1,2,3 is sold 1,000 times, no additional bets of 1,2,3 are allowed in the Exact Order or Exact/Any Order betting options).
- C. All Prizes levels are fixed as indicated in 10.B.5.A.
- D. The Prize Fund for Pick 3 is fifty and twenty-nine one hundredths percent (50.29%).

#### **10.B.6 Payment of Prizes**

The Ticket Holder shall be entitled to the highest Prize Amount based on the play selection and bet amount as indicated in section 10.B.5 A.

#### **10.B.7 Ticket Purchases**

- A. Pick 3 Tickets may only be Purchased from a Retailer or directly from the Lottery.
- B. Pick 3 Tickets shall show, at a minimum, the numbers selected, the bet type, the bet amount, Drawing date, Drawing time (mid/eve/both), Validation and reference numbers.
- C. Returns shall not be accepted and Tickets shall not be canceled.

### **10.B.8 Drawings**

- A. Pick 3 Drawings shall be held twice daily unless the schedule is changed by the Lottery.
- B. Each Drawing shall determine, at random, three (3) winning numbers. The winning numbers shall be used in determining all Pick 3 winners for that Drawing.

### **10.B.9 Advance Play**

Advance Play provides the opportunity to Purchase Pick 3 Tickets for more than one consecutive Drawing. Advance Play Tickets shall be available for Purchase in variable increments. The Advance Play feature shall be available at the discretion of the Lottery Director.

## **RULE 10.D CASH 5 GAME RULES**

### **BASIS AND PURPOSE OF RULE 10.D**

The purpose of Rule 10.D is to provide specific game details, instructions, and requirements for the Colorado Lottery Jackpot Game “CASH 5” and the “EZ Match” add-on, such as type of play, Prizes, method of selecting winning numbers, Drawings, and the allocation of revenues. The statutory basis for Rule 10.D is found in C.R.S. 44-40-109 (1) (a) and (2), 44-40-113 and 44-40-114.

### **10.D.1 General Provisions**

A Colorado Lottery Jackpot Game to be known as “CASH 5” with an “EZ MATCH™” add-on option is authorized to be conducted by the Director under the following Rules and Regulations and under such further instructions and directives as the Director may issue in furtherance thereof. If a conflict arises between another provision of the Lottery’s Rules and Regulations and this Rule 10.D, Rule 10.D shall apply.

### **10.D.2 Definitions**

In addition to the definitions provided in Rule 1.1 and Rule 10, the following definitions apply to this Rule 10.D.2:

- A. “Board” means a field of the 32 numbers found on the Play Slip.
- B. “Number” means any play integer from 1 through 32 inclusive.
- C. “Play” means the 5 numbers selected on each Board and displayed on the Ticket.

### **10.D.3 Price of CASH 5 Tickets**

The price of each CASH 5 play shall be \$1.00 but may be adjusted at the Director, or designee’s, discretion.

**10.D.4 Play For CASH 5**

A. Type of play:

A CASH 5 Player must select five numbers in each play. A winning play is achieved only when 2, 3, 4, or 5 of the numbers selected by the Player match, in any order, the five winning numbers drawn by the Lottery. The Player can use Play Slips to make number selections. The Gaming Terminal reads the Play Slip and issues a Ticket with corresponding Play(s). If a Play Slip is not available, the Retailer may enter the selected numbers manually via the keyboard. If offered by the Lottery, a Player may leave all or a portion of his/her Play selections to Quick Pick.

B. Method of play:

1. Manual - The Jackpot Game retailer may enter the player's selected numbers via the keyboard on the Jackpot Game terminal.
2. Play Slip - The player may use an original Play Slip provided by the Lottery to make number selections. The Jackpot Game terminal will read the Play slip and issue a ticket with corresponding plays.
  - i. Facsimiles of Play Slips, copies of Play Slips, or other materials that have not been printed or approved by the Lottery shall not be used to enter a play.
  - ii. No device shall be connected to a Jackpot Game terminal to enter plays, except as may be approved by the Lottery.

**10.D.5 CASH 5 Prizes**

- A. CASH 5 Prize Amounts, for each Drawing, are paid to those Players who select a matching combination of numbers from the five (5) numbers selected by the Lottery in a random Drawing. The Prize Amounts for each Prize Category and odds of winning are as follows:

| MATCHING COMBINATIONS                                            | PRIZE<br>CATEGORY | ODDS OF<br>WINNING (ONE<br>PLAY) |
|------------------------------------------------------------------|-------------------|----------------------------------|
| All five matching numbers in one play                            | \$20,000.00       | 1:201,375                        |
| Any four but not five matching numbers in one play               | \$200,00          | 1:1,491                          |
| Any three but no four or five matching numbers in one play       | \$10,00           | 1:57                             |
| Any two but not three, four or five matching numbers in one play | \$1.00            | 1:6                              |

- B. In the event more than ten (10) Tickets win the top Prize in any single Drawing (correctly match five numbers in any one play), all top Prize winning Tickets will receive an equal share of Two Hundred Thousand Dollars (\$200,000.00).
- C. The projected Aggregate Prize Fund for CASH 5 is Fifty-five and Twenty-nine One Hundredths Percent (55.29%).
- D. Additional Lottery Prizes may be awarded as authorized by the Director from the Indirect Prize Category Contribution.
- E. The holder of a winning Ticket may win only one Prize per Play in connection with the winning numbers drawn and shall be entitled only to the highest Prize Category won by those numbers.

**10.D.6 CASH 5 Drawings**

- A. CASH 5 Drawings shall be held once daily unless otherwise scheduled by the Director.
- B. Each Drawing shall determine, at random, five winning numbers in accordance with Drawing Guidelines. The winning numbers shall be used in determining all CASH 5 winners for that Drawing.

**10.D.7 Price and Selection of “EZ MATCH™” Add-on**

- A. CASH 5 has a game option known as “EZ MATCH™” which allows Players the option to pay an additional one dollar (\$1) for a chance to win an instant Prize. This game option is authorized to be conducted at the discretion of the Director. If a conflict arises between Rule 10.D and this Rule 10.E, Rule 10.E shall apply.
- B. The price of each “EZ MATCH™” play selected shall be \$1.00.
- C. A Player may Purchase up to ten (10) “CASH 5” plays with ten (10) “EZ MATCH™” plays for a single draw as follows:

| Number of “CASH 5” plays | Number of “CASH 5” boards | Cost of “CASH 5” boards | Number of “EZ MATCH™” boards | Cost of “EZ MATCH™” boards | Total cost “CASH 5” boards with “EZ MATCH™” |
|--------------------------|---------------------------|-------------------------|------------------------------|----------------------------|---------------------------------------------|
| 1                        | One Board                 | \$1.00                  | One Board                    | \$1.00                     | \$2.00                                      |
| 2                        | Two Boards                | \$2.00                  | Two Boards                   | \$2.00                     | \$4.00                                      |
| 3                        | Three Boards              | \$3.00                  | Three Boards                 | \$3.00                     | \$6.00                                      |

| Number of "CASH 5" plays | Number of "CASH 5" boards | Cost of "CASH 5" boards | Number of "EZ MATCH™" boards | Cost of "EZ MATCH™" boards | Total cost "CASH 5" boards with "EZ MATCH™" |
|--------------------------|---------------------------|-------------------------|------------------------------|----------------------------|---------------------------------------------|
| 4                        | Four Boards               | \$4.00                  | Four Boards                  | \$4.00                     | \$8.00                                      |
| 5                        | Five Boards               | \$5.00                  | Five Boards                  | \$5.00                     | \$10.00                                     |
| 6                        | Six Boards                | \$6.00                  | Six Boards                   | \$6.00                     | \$12.00                                     |
| 7                        | Seven Boards              | \$7.00                  | Seven Boards                 | \$7.00                     | \$14.00                                     |
| 8                        | Eight Boards              | \$8.00                  | Eight Boards                 | \$8.00                     | \$16.00                                     |
| 9                        | Nine Boards               | \$9.00                  | Nine Boards                  | \$9.00                     | \$18.00                                     |
| 10                       | Ten Boards                | \$10.00                 | Ten Boards                   | \$10.00                    | \$20.00                                     |

#### **10.D.8EZ MATCH™ Method of play**

- A. The EZ MATCH™ option is effective only for Players who choose the EZ MATCH™ option at time of Purchase and pay an additional \$1.00 per board. Selection of EZ MATCH has no impact on the Play for the CASH 5 Game.
- B. Tickets with the "EZ MATCH™" option will display five (5) randomly selected numbers below the "CASH 5" board Purchased in an "EZ MATCH™" option Play Area of the "CASH 5" Ticket.
- C. Each of the five (5) "EZ MATCH™" option numbers will have a Prize value randomly assigned.
- D. If one or more of the "EZ MATCH™" option numbers matches (is the same as) one or more of the numbers displayed in the "CASH 5" board the EZ Match option is an instant winner.

#### **10.D.9Prizes For "CASH 5" with "EZ MATCH™"**

- A. Players who choose the "EZ MATCH™" option and pay the extra \$1.00 per board will be awarded Prizes based on the Instant Win numbers matched in the "EZ MATCH™" Play Area of their "CASH 5" Ticket with the numbers displayed in the "CASH 5" board.
- B. Players can match one (1) to five (5) instant win numbers per board.

C. Odds of winning an “EZ MATCH™” Prize are shown in the table below.

| Division | Odds<br>(within<br>group of<br>84,000) | Expected<br>Number of<br>Winners /<br>Grid | Prize<br>per<br>Winner | Prize<br>Percentage | Payout<br>Percentage |
|----------|----------------------------------------|--------------------------------------------|------------------------|---------------------|----------------------|
| 1        | 1 :<br>42,000                          | 2                                          | \$500                  | 1.95%               | 1.19%                |
| 2        | 1 :<br>42,000                          | 2                                          | \$250                  | 0.97%               | 0.60%                |
| 3        | 1 :<br>21,000                          | 4                                          | \$100                  | 0.78%               | 0.48%                |
| 4        | 1 : 2,800                              | 30                                         | \$50                   | 2.92%               | 1.79%                |
| 5        | 1 : 1,680                              | 50                                         | \$20                   | 1.95%               | 1.19%                |
| 6        | 1 : 840                                | 100                                        | \$15                   | 2.92%               | 1.79%                |
| 7        | 1 : 168                                | 500                                        | \$10                   | 9.75%               | 5.95%                |
| 8        | 1 : 105                                | 800                                        | \$5                    | 7.80%               | 4.76%                |
| 9        | 1 : 76                                 | 1100                                       | \$4                    | 8.58%               | 5.24%                |
| 10       | 1 : 17                                 | 5000                                       | \$3                    | 29.24%              | 17.86%               |
| 11       | 1 : 10                                 | 8500                                       | \$2                    | 33.14%              | 20.24%               |
|          | 1 : 5.22                               | 16,088                                     |                        | 100%                | 61.07%               |

#### **10.D.10 EZ MATCH™ Prize Payment**

- A. EZ MATCH™ option instant wins will be paid separately from any CASH 5 wins on the associated CASH 5 board for tax reporting purposes.
- B. The EZ MATCH™ option instant win Ticket may be redeemed for payment immediately. If a winning EZ MATCH™ option Ticket is presented prior to the associated CASH 5 Drawing occurring a CASH 5 exchange Ticket will be generated.
- C. The EZ MATCH™ option instant win Ticket may be held until after the Drawing for which the CASH 5 Ticket was Purchased.

#### **10.D.11 Ticket Purchases**

- A. CASH 5 Tickets with the EZ MATCH™ option may be Purchased only from a Retailer authorized by the Director to Sell Jackpot Game Tickets or directly from the Lottery.

- B. CASH 5 Tickets with the EZ MATCH™ option shall show, at a minimum, the Player's selection of numbers, the boards played, Drawing date, Validation and reference numbers, "EZ MATCH™" Instant Win numbers and "EZ MATCH™" Instant Win Prize values.
- C. A Player of a "CASH 5" Ticket must choose, at the time of Purchase, whether or not he/she wants the "EZ MATCH™" option. If the Player chooses the "EZ MATCH™" option for the Ticket, the additional cost for each "CASH 5" board will be \$1.00. (See Paragraph 10.E.3 of this Rule 10.E for detailed "EZ MATCH™" costs.) The Option applies to all boards on a single Ticket and cannot be Purchased on a board-by-board basis.
- D. Players who Purchase multiple boards per "CASH 5" Ticket and select the "EZ MATCH™" option will receive one (1) Ticket per board Purchased.
- E. "CASH 5" Tickets with the "EZ MATCH™" option shall not be returned or cancelled.

**10.D.12 Advance Play**

Advance Play provides the ability to Purchase "CASH 5" Tickets for more than one Drawing. A Player of "CASH 5" Advance Play Tickets may also Purchase the "EZ MATCH™" option. If an Advance Play "CASH 5" Ticket is Purchased with the "EZ MATCH™" option, the option only applies to the original Purchase for an instant win. "EZ MATCH™" does not apply to, or affect, any "CASH 5" Advance Play win. If an Advance Play "CASH 5" Ticket is redeemed when there are remaining draws the exchange Ticket that is produced will not contain the "EZ MATCH™" option.

**RULE 10.F [Repealed eff. 01/30/2014]**

**RULE 11 [Repealed eff. 10/30/2013.]**

**RULE 12 [Repealed eff. 07/30/2012]**

**RULE 13 [Repealed eff. 07/30/2012]**

**Rule 14 MULTI-STATE JACKPOT GAMES**

**BASIS AND PURPOSE OF RULE 14**

The purpose for Rule 14 is to provide general details and requirements for all Multi-state Jackpot Games, such as the sale of Tickets, payment of Prizes, and the method for selecting and Validating winning Tickets. The statutory basis for Rule 14 is found in C.R.S. 44-40-101(5) and (6), 44-40-104(4)(a), 44-40-109(1)(a) and (h), and (2), 44-40-113 and 44-40-114.

### **14.1 General Provisions**

Multi-state Jackpot Games will be conducted pursuant to the following Rules and Regulations and such further instructions and directives as the Director may issue.

- A. The Director and the Division are authorized to enter into a Multi-state Agreement for the purposes of promoting and Selling Multi-state Jackpot Games.
- B. All Multi-state Jackpot Game Rules or changes thereto must be approved by the Commission prior to implementation in Colorado.
- C. The Director shall be a voting member of any Multi-state Board during the timeframe in which the Lottery is a member of the Multi-state Group.
- D. If at any time the Director determines that any provision of the Multi-state Governing Rules or of the Multi-state specific Game Rules do not sufficiently provide for the security and integrity necessary to protect the Lottery, the Director shall recommend to the Commission that the Lottery end its membership with the specified Multi-state Group or Multi-state Jackpot Game. If the Commission concurs, such action shall be taken.

### **14.2 Definitions**

In addition to the definitions provided in Rule 1.1, the following definitions apply to this Rule 14.2 and any other Section that governs the game rules for a Multi-state Jackpot Game:

- A. "Breakage" means the results of rounding Prize Amounts down to the nearest whole dollar.
- B. "Multi-state Agreement" means the document made and entered into by the Party Lotteries, containing the mutual covenants agreed to by the Party Lotteries.
- C. "Multi-state Jackpot Ticket" means a computer-generated Ticket issued by a Lottery Licensee (Licensee) to a Player as a receipt for the combination of numbers selected in a Jackpot Game.
- D. "Multi-state Board" means the governing body of a specific Jackpot Game, which is comprised of the chief executive officer of each Party Lottery.
- E. "MUSL" means the Multi-state Lottery Association.
- F. "Party Lottery" means a State Lottery or Lottery of a political subdivision or entity which has joined a Multi-state Game and, in the context of the Product Group Rules, has joined in Selling the specified Jackpot Game.

- G. “Product Group” means a group of Lotteries which have joined together to offer a Product pursuant to the terms of the Multi-state Agreement and the group’s own rules.
- H. Roll-over” means the amount from the direct Prize Category contribution from previous Drawing(s) in the Grand Prize Category, that is not won, that is carried forward to the Grand Prize Category for the next Drawing.
- I. “Set Prize” means all other Prizes except the Grand Prize and, except in instances outlined in these rules, will be equal to the Prize amount established within the specific Game Rules.

#### **14.3 Price of Tickets & Prizes**

- A. The Purchase price of each Multi-state Jackpot Ticket shall be set forth in specific Game Rules.
- B. The Prize Amounts or total amount of Prize money allocated to the Prize categories for Multi-state Jackpot Games shall be set forth in specific Game Rules.
- C. In the event the Prize Expense is less than the Commission approved Aggregate Prize Fund for a specific game, the Director may authorize the difference to be used to increase Prize Amounts or pay Additional Lottery Prizes for that game.

#### **14.4 Drawings and End of Sales Prior To Multi-state Drawings**

- A. The manner and frequency of Drawings shall be as set forth in specific Game Rules. In the event of a Force Majeure, the Drawing shall be rescheduled at the direction of the Product Group for the Multi-state Jackpot Game.
- B. Drawings shall be conducted at a location, on days, and at times announced to the public. Drawing results are not official until verified.
- C. The Director shall determine when each Multi-state Jackpot Game goes into Draw Break before the Drawing, consistent with MUSL rules and guidelines, unless otherwise noted in the specific Game Rules. Once a Jackpot Game is in Draw Break, Jackpot Game Terminals will not allow any further Purchases for that Drawing.
- D. The Drawing shall not be invalidated because the Numbers drawn create an excessive Prize liability for the Lottery.
- E. Each Drawing shall be witnessed by an independent auditor as required in C.R.S. 44-40109(2)(d).

- F. All Drawing equipment used shall be examined by the auditor located at the Multi-state Drawing Site within thirty (30) minutes before a Drawing and within thirty (30) minutes after the Drawing.

#### **14.5 Cancellation of Tickets**

A Multi-state Jackpot Ticket may not be cancelled unless otherwise stated in the specific Game Rules.

#### **14.6 Validation Requirements**

- A. To be a valid winning Multi-state Jackpot Ticket, all of the following conditions must be met:
1. All printing on the Ticket shall be present in its entirety, be legible, and correspond to the Gaming System Record;
  2. The Ticket must be intact;
  3. The Ticket must not be mutilated, altered, or tampered with in any manner;
  4. The Ticket must not be counterfeit or an exact duplicate of another winning Ticket;
  5. The Ticket must have been issued by Retailer or the Division in an authorized manner;
  6. The Ticket must not have been acquired illegally;
  7. The Ticket must not have been previously paid; and
  8. The Ticket must pass all other confidential security checks of the Lottery.
- B. Any Ticket failing one of the Validation requirements listed in Rule 14.8(A) is invalid and the Claimant is ineligible for a Prize, unless the Director authorizes award of a Prize on the grounds that the Ticket can be Validated through another method to confirm its authenticity.
- C. In the event a Jackpot Ticket is defective at the time of Purchase, the only responsibility or liability of the Lottery or the Retailer shall be the replacement of the defective Jackpot Ticket with another Lottery Product of the same Retail value or refund of the Purchase price.

#### **14.7 Time to Claim a Multi-state Jackpot Prize**

A Multi-state Jackpot Prize must be claimed no later than one hundred and eighty (180) days after the Drawing for which the Ticket was Purchased. Any Person who fails to claim a Prize during the one hundred and eighty (180) day claim period shall forfeit all rights to the Prize and the amount of the Prize shall remain in the Lottery Fund. Prizes claimed by mail must be documented as received by the Lottery by the one hundred and eightieth (180th) day after the announced end-of- game date.

#### **14.8 Annuity Payments**

The Multi-state Board shall act as an agent for the Party Lotteries jointly operating games requiring annuitized payments and shall Purchase investments for the benefit of the Party Lotteries who receive valid claims for each Prize paid as an annuity. The investment Purchase process shall be handled according to the Multi-state Game Rules Processes (solicitation of bids, selection of investment, premium payment, etc.). The investment so Purchased shall be held in the trust account for the benefit of each Party Lottery for eventual distribution to a Prize Winner.

#### **14.9 Audit of Lottery Contributions to the Multi-state Group**

The Lottery is responsible for verifying all Multi-state Group Prize Fund and reserve allocations, interest earnings and expenditures received or paid on behalf of the Lottery. The Lottery's Fiscal Department will perform analytical procedures on the Multi-state Group's audited financial statements annually as set forth in Recommendation #2 of the June 30, 2003 financial audit. If anything of concern surfaces by applying these procedures, the Director and the Lottery Controller will be notified.

#### **14.10 Interest Earnings**

- A. The Director shall request the Multi-state Group to distribute all interest earned on the unreserved account on a quarterly basis. If the interest earned on the unreserved account is immaterial, the Director may postpone the distribution request until the end of the fiscal year.
- B. At the end of each fiscal year, the Multi-state group shall prepare a schedule of revenues and expenses resulting in the Multi-state Group's net income for the fiscal year. The revenues will include all investment earnings, except the interest earned on the unreserved account. The net income will be available to be distributed to each Party Lottery in accordance with procedures as set forth by the Multi-state Group. The chief executive officer of each Party Lottery shall request the remittance of their proportionate share of net income following the close of the fiscal year.

**RULE 14.A “POWERBALL®” GAME RULES**

**BASIS AND PURPOSE OF RULE 14.A**

The purpose of Rule 14.A is to provide details and requirements for the Multi-state Jackpot Game “Powerball®” such as sale of Tickets, payment of Prizes, and method for selecting and Validating winning Tickets. The statutory bases for Rule 14.A are C.R.S. 44-40-101, 44-40-109 (1)(a) and (2), 44-40-113, and 44-40-114.

**14.A.1 General Provisions**

The Multi-state Jackpot Game known as “Powerball®” shall be conducted pursuant to the following Rules and Regulations and such further instructions and directives as the Colorado Lottery Director and Colorado Lottery Commission may issue. If a conflict arises between another provision of the Lottery Rules and Regulations and this Rule 14.A, Rule 14.A shall apply. If a conflict arises between this Rule 14.A and the “Powerball®” Official Game Rule provided by the Multi-state Lottery Association, the “Powerball®” Official Game Rule shall apply.

**14.A.2 Definitions**

In addition to the definitions provided in Rules 1.1 and Rule 14.2, the following definitions shall apply to this Rule 14.A and any other Section that governs the game rules for a Multi-state Jackpot Game:

- A. “Game Board” means that area of the Play Slip that contains a set of two (2) grids. The first grid contains sixty-nine (69) squares, numbered one (1) through sixty-nine (69), and the second grid contains twenty-six (26) squares, numbered one (1) through twenty-six (26).
- B. “Grand Prize” means a pari-mutuel Prize that is advertised to be paid with per-winner annuities or as a lump sum cash payment, unless otherwise specified by the Lottery.
- C. “MUSL Board” means the governing body of MUSL, which is comprised of the chief executive officer of each Party Lottery.
- D. “Number” means any Play integer from one (1) through sixty-nine (69) inclusive.
- E. “Play” means the six (6) numbers selected on each Game Board and printed on the Ticket.
- F. “Prize Pool” means a defined percentage of sales as specified in this rule.

- G. “Set Prize Pool” means an account held by MUSL that holds the temporary balances, transferred to MUSL from Party Lotteries, which results from having fewer-than-expected Prize Winners in the Set Prize Categories. This money is paid out to Party Lotteries in subsequent Drawings that have more Prize Winners than are statistically expected in the Set Prize Categories.

**14.A.3 Price of “Powerball®” Ticket**

The price of each “Powerball®” Play shall be Two Dollars (\$2.00).

**14.A.4 Play for “Powerball®”**

- A. A “Powerball®” Player must select six (6) numbers per Play; five (5) numbers out of sixty-nine (69) plus one (1) out of twenty-six (26). A winning Play is achieved only when the following combinations of numbers selected match, in any order, the five (5) plus one (1) Winning Numbers drawn. Those combinations are 5+1, 5+0, 4+1, 4+0, 3+1, 3+0, 2+1, 1+1, and 0+1.
- B. The Player can use Play Slips, as described in section 14.A.8, to make number selections. The Gaming Terminal reads the Play Slip and issues a Ticket with corresponding Play(s). If a Play Slip is not available, the Retailer may enter the selected numbers via the keyboard. If offered by the Lottery, a Player may leave all or a portion of his/her Play selections to a random number generator operated by the Gaming Terminal, commonly referred to as a Quick Pick or partial Quick Pick.

**14.A.5 Prizes for “Powerball®”**

A. Odds of winning a Prize are displayed in the table below:

| WINNING COMBINATIONS                                                                    | PRIZE CATEGORY | ODDS OF WINNING (ONE PLAY) |
|-----------------------------------------------------------------------------------------|----------------|----------------------------|
| All five (5) of first set plus one (1) of second set                                    | Grand Prize    | 1:292,201,338.0000         |
| All five (5) of first set plus none of second set                                       | Second Prize   | 1:11,668,053.5200          |
| Any four (4) of first set, but not five, plus one (1) of second set                     | Third Prize    | 1:913,129.1813             |
| Any four (4) of first set, but not five, plus none of second set                        | Fourth Prize   | 1:36,525.1673              |
| Any three (3) of first set, but not four or five, plus one (1) of second set            | Fifth Prize    | 1:14,494.1140              |
| Any three (3) of first set, but not four or five, plus none of second set               | Sixth Prize    | 1:579.7646                 |
| Any two (2) of first set, but not three, four, or five, plus one (1) of second set      | Seventh Prize  | 1:701.3281                 |
| Any one (1) of first set, but not two, three, four, or five, plus one (1) of second set | Eighth Prize   | 1:91.9775                  |
| None of first set plus one (1) of second set                                            | Ninth Prize    | 1:38.3239                  |
| Overall odds of winning any prize                                                       |                | 1:24.8671                  |

B. The Prize Pool contribution for all Prize Categories shall consist of fifty percent (50%) of each Drawing period sales, unless as described in section 14.A.10.D of this Rule 14.A, the Prize reserve and pool accounts are not funded at the balances set by the “Powerball®” Product Group. All Prize payouts are made with the following expected Prize payout percentages, although the Prize payout percentage per Drawing may vary.

**PRIZE POOL**

| PRIZE CATEGORY | PRIZE AMOUNTS     | ALLOCATION OF PRIZE POOL | PRIZE POOL PERCENTAGE OF SALES |
|----------------|-------------------|--------------------------|--------------------------------|
| Grand Prize    | Announced Jackpot | 68.0131%                 | 34.0066%                       |
| Second Prize   | \$1,000,000       | 8.5558%                  | 4.2279%                        |
| Third Prize    | \$50,000          | 5.4757%                  | 2.7378%                        |
| Fourth Prize   | \$100             | 0.2738%                  | 0.1369%                        |
| Fifth Prize    | \$100             | 0.6899%                  | 0.3450%                        |
| Sixth Prize    | \$7               | 1.2074%                  | 0.6037%                        |
| Seventh Prize  | \$7               | 0.9982%                  | 0.4990%                        |
| Eighth Prize   | \$4               | 4.3489%                  | 2.1744%                        |
| Ninth Prize    | \$4               | 10.4373%                 | 5.2187%                        |
| TOTAL PAYOUT   |                   | 100.00%                  | 50.00%                         |

- C. Prize Categories - The Grand Prize shall be determined on a pari-mutuel basis. The Grand Prize shall be divided equally by the number of Game Plays matching all five (5) of the first set plus one (1) of the second set. Except as provided in 14.A.9.E.4., below, all other Prizes Amounts awarded shall be paid as Set Prizes with the foregoing expected Prize payout percentages.

**14.A.6 Payment of Prizes**

- A. Grand Prizes shall be paid at the election of the Ticket Holder either by a single cash payment or in a series of annuity payments. The Ticket Holder becomes entitled to the Prize at the time the Prize is Validated. However, the Grand Prize is paid by the Lottery upon receipt of funds from MUSL no earlier than fifteen (15) calendar days of Validation of the Grand Prize Ticket and when the Player makes their final selection of cash or annuity, no later than sixty (60) days after Validation of the Grand Prize Ticket. An election made after the Ticket Holder becomes entitled to the Prize is final and cannot be revoked, withdrawn or otherwise changed. The Validation record will be kept secured and on file at the Lottery until the Ticket Holder makes a payment election. If the Ticket Holder does not make a payment election within sixty (60) days after Validation, then the Prize shall be paid as an annuity Prize.
1. Shares of the Grand Prize shall be determined by dividing the cash available in the Grand Prize Pool equally among all plays matching all five (5) of the first set plus one

- (1) of the second set of drawn Numbers. Winner(s) who elect a cash payment shall be paid their Share(s) in a single cash payment. The annuitized option Prize shall be determined by multiplying a Prize Winner's Share of the Grand Prize Pool by the MUSL annuity factor. Neither MUSL nor the Party Lotteries shall be responsible or liable for changes in the advertised or estimated annuity Prize Amount and the actual amount Purchased after the Prize payment method is actually known to MUSL. In certain instances announced by the "Powerball®" Product Group, the Grand Prize shall be a guaranteed amount and shall be determined pursuant to section 14.A.6.E. of this Rule 14.A. If individual Shares of the cash held to fund an annuity are less than Two Hundred and Fifty Thousand Dollars (\$250,000), the "Powerball®" Product Group, in its sole discretion, may elect to pay the Prize Winners Share of the cash held in the Grand Prize Pool.
2. All annuitized Prizes shall be paid annually in thirty (30) graduated payments with the initial payment being made in cash, to be followed by twenty-nine (29) payments funded by the annuity.
3. Funds for the initial payment of an annuitized Prize or the lump sum cash Prize shall be made available by MUSL for payment by the Lottery no earlier than the fifteenth calendar day (or the next banking day if the fifteenth day is a holiday) following the Drawing. If necessary, when the due date for the payment of a Prize occurs before the receipt of funds in the Prize Pool trust sufficient to pay the Prize, the transfer of funds for the payment of the full lump sum cash amount may be delayed pending receipt of funds from the Party Lotteries. The Lottery may elect to make the initial payment from its own funds after Validation, with notice to MUSL.
4. The Grand Prize Amount held by MUSL for subsequent payment to an annuity Prize Winner shall be transferred to the Lottery and the Lottery shall have payment to the annuity Prize Winner on the anniversary date, or if such date falls on a non-business day the first day following the anniversary date, of the Drawing.

5. In the event of the death of a Lottery Prize Winner during the annuity payment period, the "Powerball®" Product Group, in its sole discretion, upon the petition of the estate of the Lottery Prize Winner (the "Estate") to the Lottery, and subject to federal, state, or district applicable laws, may accelerate the payment of all of the remaining Lottery proceeds to the Estate. If the "Powerball®" Product Group makes such a determination, then securities and/or cash held to fund the deceased Lottery Prize Winner's annuitized Prize may be distributed to the Estate. The identification of the securities to fund the annuitized Prize shall be at the sole discretion of the "Powerball®" Product Group.
- B. The Director's decision with respect to the Validation and payment of Set Prizes, whether during a "Powerball®" game or any Drawing related thereto, shall be final and binding upon all participants in the Lottery.
- C. All Set Prizes (excluding the Grand Prize) shall be paid by the Lottery. The Lottery may begin paying Set Prizes after receiving authorization to pay from the MUSL Central Office.
- D. Annuitized payments of the Grand Prize or a share of the Grand Prize may be rounded to facilitate the Purchase of an appropriate funding mechanism. Breakage on an annuitized Grand Prize win shall be added to the first cash payment to the Prize Winner(s).
- E. Set Prizes, which, under these rules, may become pari-mutuel Prizes, may be rounded down so that Prizes can be paid in multiples of whole dollars. Breakage resulting from rounding these Prizes shall be carried forward to the Prize Pool for the next Drawing.
- F. If the Grand Prize is not won in a Drawing, the Prize money allocated for the Grand Prize shall Roll-Over and be added to the Grand Prize Pool for the following Drawing.
- G. The "Powerball®" Product Group may offer guaranteed minimum Grand Prize Amounts or minimum increases in the Grand Prize Amount between Drawings or make other changes in the allocation of Prize money where the "Powerball®" Product Group finds that it would be in the best interest of the game. If a minimum Grand Prize Amount or a minimum increase in the Grand Prize Amount between Drawings is offered by the "Powerball®" Product Group, then the Grand Prize Shares shall be determined as follows:
  1. If there are multiple Grand Prize winners during a single Drawing, each selecting the annuitized option Prize, then a Prize Winner's Share of the guaranteed annuitized Grand Prize shall be determined by dividing the guaranteed annuitized Grand Prize by the number of Prize Winners.

2. If there are multiple Grand Prize winners during a single Drawing and at least one of the Grand Prize Winners has elected the annuitized option Prize, then the best bid submitted by MUSL's pre-approved qualified brokers shall determine the cash pool needed to fund the guaranteed annuitized Grand Prize.
3. If no Prize Winner of the Grand Prize during a single Drawing has elected the annuitized option Prize, then the amount of cash in the Grand Prize Pool shall be an amount equal to the guaranteed annuitized amount divided by the average annuity factor of the most recent three best quotes provided by MUSL's pre-approved qualified brokers submitting quotes.
4. In no case shall quotes be used which are more than two (2) weeks old and if less than three (3) quotes are submitted, then MUSL shall use the average of all quotes submitted. Changes in the allocation of Prize money shall be designed to retain approximately the same Prize allocation percentages, over a year's time, set out in these rules.

**14.A.7 Drawings**

- A. There shall be three (3) "Powerball®" Drawings each week on Monday, Wednesday and Saturday evenings, unless the Drawing schedule is changed by the MUSL Board.
- B. Each Drawing shall determine, at random, six (6) winning Numbers in accordance with Drawing Procedures. Any Numbers drawn are not declared the Winning Combination until the Drawing is certified by MUSL in accordance with the "Powerball®" Drawing Procedure. The Winning Combination shall be used in determining all "Powerball®" Prize Winners for that Drawing. If a Drawing is not certified, another Drawing will be conducted to determine certified Prize Winners.
- C. The Drawing procedures shall provide that a minimum of fifty-nine (59) minutes elapse between the close of the game Ticket sales and the time of the Drawing for those Tickets sold. F.
- D. All Drawings shall be open to the public.

**14.A.8 Sale of Tickets**

- A. "Powerball®" Tickets may be Purchased from a Retailer authorized to Sell Multi-state Jackpot Tickets or directly from the Lottery.
- B. "Powerball®" Tickets shall show, at a minimum, the Player's selection of Numbers, the number of Plays, the Drawing date, and Validation Numbers.

- C. Plays may be entered manually using the Gaming Terminal keypad or by means of a Play Slip provided by the Lottery. No device shall be connected to a Gaming Terminal to enter Plays, except as may be approved by the Lottery. D. "Powerball®" Tickets may not be cancelled.
1. If the "Powerball®" Game is cancelled by the "Powerball®" Product Group prior to the occurrence of all Drawings for which Plays have been sold, the Lottery may provide a refund mechanism for such Plays to the Players, and the Lottery shall not be required to remit its Prize Pool contributions for any such refunded Plays.

**14.A.9 Advance Play**

Advance Play provides the opportunity to Purchase "Powerball®" Tickets for more than one (1) consecutive Drawing. Advance Play Tickets shall be available for Purchase in variable increments. The Advance Play feature shall be available at the discretion of the Director.

**14.A.10 Prize Reserve and Prize Pool Accounts**

- A. The MUSL Board manages two (2) Prize Reserve Accounts associated with the "Powerball®" Product Group. The MUSL Board holds the reserves in trust on behalf of the Party Lottery, and interest is earned by the Party Lottery. When a Party Lottery becomes a member of the "Powerball®" Product Group, the MUSL Board determines an initial contribution to be made by the Party Lottery to the reserves. In accordance with the payment plan established between the Party Lottery and MUSL, the Party Lottery must deposit with the MUSL Board the specified amounts. All deposits are reported on Party Lottery records as "Cash Held by MUSL" or "Pre-Paid Prize Expense with MUSL".
1. Prize Reserve Account (PRA) is used to guarantee payment of valid, but unanticipated, Grand Prize claims that may result from a system error or for any other reason the normal contributions from sales are not adequate.
2. Set Prize Reserve Account (SPRA) is used to fund deficiencies in the payment of the Set Prizes.
- B. The MUSL Board manages multiple Prize Pool accounts associated with the "Powerball®" Product Group. The "Powerball®" Product Group sets the contribution rates for the following Prize Pool accounts.
1. Grand Prize Pool is used to fund the current Grand Prize.
2. Set Prize Pool is used to fund the Set Prizes and holds the temporary balances that may result from having fewer than expected Prize Winners in the Set Prize Categories.

3. Set-aside pool is used to fund the payment of the awarded minimum starting annuity Grand Prizes and minimum annuity Grand Prize increase, if necessary as may be set by the "Powerball®" Product Group.
  4. Grand Prize Carry Forward Pool is used to fully fund the starting minimum annuity Grand Prize, as may be set by the "Powerball®" Product Group, if such funds are available.
- C. The above Prize Reserve Accounts and the set-aside pool shall have maximum balance amounts that are set by the "Powerball®" Product Group, which are subject to review by the MUSL Board Finance and Audit Committee.
- D. The maximum contribution rate to the Grand Prize Pool shall be 68.0131% of the Prize Pool (34.0066% of sales). An amount up to five percent (5%) of a Party Lottery's sales may be deducted from a Party Lottery's Grand Prize Pool contribution and placed in trust in one or more Prize Pool accounts and prize reserve accounts held by the "Powerball®" Product Group at any time that the Prize Pool accounts and Party Lottery's share of the Prize reserve accounts(s) is below the amounts designated by the "Powerball®" Product Group. An additional amount up to twenty percent (20%) of a Party Lottery's sales may be deducted from a Party Lottery's Grand Prize Pool contribution and placed in trust in the Grand Prize Carry Forward Pool (CFP) to be held by the "Powerball®" Product Group at a time as determined by the "Powerball®" Product Group.
- E. The set Prize Pool shall be carried forward to subsequent draws if all or a portion of it is not needed to pay the Set Prizes awarded in the current draw. If the total of all Party Lotteries' Set Prizes (as multiplied by the respective Power Play multiplier if applicable) awarded in a Drawing exceeds the percentage of the Prize Pool allocated to the Set Prizes, then the amount needed to fund the Set Prizes awarded shall be drawn from the following sources, in the following order:
1. The amount allocated to the "Powerball®" Set Prizes and carried forward from previous draws, if any;
  2. If the Set Prize Pool is not sufficient to pay the Set Prizes awarded, an amount from the Set Prize Reserve Account is used, if available, not to exceed an amount established by MUSL;
  3. Other amounts as agreed to by the "Powerball®" Product Group in their sole discretion; and

4. If after these sources are depleted, sufficient funds do not exist to pay the Set Prizes awarded, then the highest Set Prize shall become a pari-mutuel Prize. If the amount of the highest Set Prize, when paid on a pari-mutuel basis, drops to or below the next highest Set Prize and there are still not sufficient funds to pay the remaining Set Prizes awarded, then the next highest Set Prize shall become a pari-mutuel Prize. This procedure shall continue down through all Set Prize levels, if necessary, until all Set Prize levels become pari-mutuel Prize levels.
- F. The "Powerball®" Product Group may determine to expend all or a portion of the funds in the "Powerball®" Prize Pool accounts (except the Grand Prize pool account and the Grand Prize Carry Forward Pool) and the Prize Reserve Accounts, (1) for the purpose of indemnifying the Party Lotteries and Retailer lotteries in the payment of Prizes to be made by the selling Lotteries; and (2) for the payment of Prizes or special Prizes in the game, limited to Prize Pool and Prize reserve contributions from Lotteries participating in the special Prize promotion, subject to the approval of the Board's Finance & Audit Committee. The Grand Prize carry forward pool may only be expended to pay "Powerball®" Prizes.
- G. Any amount remaining in the Prize Pool accounts or Prize Reserve Accounts at the end of this "Powerball®" Game shall be returned to the Party Lotteries participating in the accounts after the end of all claim periods of all selling Party Lotteries, carried forward to a replacement game, or otherwise expended in a manner at the election of the individual members of the "Powerball®" Product Group in accordance with jurisdiction statute.
- H. All liabilities for a "Powerball®" Prize are discharged upon payment of a Prize. A Claimant agrees, as its sole and exclusive remedy that claims arising out of a "Powerball®" Play can only be pursued against the selling Party Lottery which issued the Play. Litigation, if any, shall only be maintained within the jurisdiction in which the "Powerball®" Play was Purchased and only against the selling Party Lottery that issued the Play. No claim shall be made against any other Participating Lottery or against the MUSL.
- I. Nothing in these Rules shall be construed as a waiver of any defense or claim the selling Party Lottery which issued the Play, any other participating Lottery or MUSL may have in any litigation, including in the event a Player or Claimant pursues litigation against the selling Party Lottery, any other participating Lottery or MUSL, or their respective officers, Directors, or employees.
- J. All decisions made by a selling Party Lottery, including the declaration of Prizes and the payment thereof and the interpretation of "Powerball®" Rules, shall be final and binding on all Players and on every Person making a Prize claim in respect thereof, but only in the jurisdiction where the "Powerball®" Play was issued.

- K. Unless the laws, rules, regulations, procedures, and decisions of the Party Lottery which issued the Play provide otherwise, no Prize shall be paid upon a Play Purchased, claimed, or sold in violation of these Rules or the laws, rules, regulations, procedures, and decisions of that selling Party Lottery; any such Prize claimed but unpaid shall constitute an unclaimed Prize under these Rules and the laws, rules, regulations, procedures, and decisions of that selling Party Lottery.

**14.A.11 Prize Accounts**

- A. The Lottery shall transfer to the MUSL in trust an amount as determined to be its total proportionate share of the Prize account less actual Set Prize liability. If this results in a negative amount, the MUSL Central Office shall transfer funds to the Lottery.
- B. Grand Prize Amounts held by MUSL shall be transferred to the Lottery immediately after the Lottery Validates the Grand Prize claim and after MUSL has collected the Prize Pool Shares from all Party Lotteries.
- C. All funds to pay a Grand Prize that go unclaimed shall be returned to the Lottery by MUSL in proportion to sales by the Lottery for the Grand Prize in question after the claiming period set by the Lottery selling the winning Ticket expires.

**14.A.12 Funds Transfer**

- A. Funds shall be collected by MUSL from each Party Lottery weekly by wire transfer or other means acceptable to the "Powerball®" Product Group. The "Powerball®" Product Group shall determine collection days. The amount to be transferred shall be calculated in accordance with game rules. The draw reports determine whether the member Lotteries owe funds to MUSL or MUSL needs to transfer money to the member Lotteries. Each Party Lottery shall transfer to MUSL an amount as determined by MUSL and the "Powerball®" Product Group to be its total proportionate share of the Prize account less actual Set Prize liability. If this results in a negative amount, the MUSL central office shall transfer funds to the Party Lottery.
- B. The Grand Prize Amount held by MUSL shall be transferred to the Lottery after the Lottery Validates the Grand Prize claim and after MUSL has collected the Prize Pool Shares from all member Lotteries.
- C. The Grand Prize Amount held by MUSL for subsequent payment to annuity Prize Winners shall be transferred to the Lottery within seven (7) days preceding the anniversary date of the selection of the Winning Combination. The Lottery will then make payment to the annuity Prize Winner.

**14.A.13 MUSL Accounting and Finance**

- A. At the time a lottery joins the “Powerball®” Product Group, MUSL revises the existing budget and assesses the Lottery for the additional costs. Each July, thereafter, MUSL sets the budget for the impending year and assesses each Party Lottery their proportionate share. The Party Lottery receives a copy of these costs and an election form.
- B. Each September and March, MUSL re-evaluates the amounts that each Party Lottery must contribute to any Prize reserves. Any additional contributions to the Prize reserves are funded by reducing the contribution from sales to the Grand Prize as referred to in 14.A.9.
- C. The draw reports determine whether the Lottery owes and needs to transfer funds to MUSL, or MUSL owes and needs to transfer funds to the Lottery. (The procedures and corresponding time lines documenting the timely and effective transfer of funds between the Lottery and MUSL can be found in the Lottery’s financial procedures.) Three different transfers are made on a continual basis:
  - 1. Draw receivables transferred from the Lottery to MUSL;
  - 2. Set Prize payments and initial Grand Prize payments transferred from MUSL to the Lottery; and
  - 3. Subsequent Grand Prize annuity payments from MUSL to the Lottery.

**RULE 14.B “POWERBALL®” - “POWER PLAY®” GAME RULES**

**BASIS AND PURPOSE OF RULE 14.B**

The purpose of Rule 14.B is to provide details and requirements for the Colorado Lottery Multi-state Jackpot Game “Powerball®” “Power Play®” option such as sale of Tickets, payment of Prizes, and method for Validating winning Tickets. The statutory bases for Rule 14.B are C.R.S. 44-40-101, 44-40-109 (1)(a) and (2), 44-40-113, and 44-40-114.

**14.B.1 General Provisions**

The Multi-state Jackpot Game known as “Powerball®” shall have a game option known as “Power Play®”, which allows Players to pay an additional One Dollar (\$1.00) for a chance to increase any Set Prize won on that Ticket.

“Power Play®” shall be conducted pursuant to the following Rules and Regulations and under such further instructions and directives as the Director and Commission may issue. If a conflict arises between another provision of the Lottery Rules and Regulations and this Rule 14.B, Rule 14.B shall apply. If a conflict arises between this Rule 14.B and the “Powerball Power Play®” Official Game Rule provided by the Multi-state Lottery Association, the “Powerball Power Play®” Official Game Rule shall apply.

**14.B.2 Definitions**

Refer to the definitions provided in Rule 1.1, Rule 14.2 and Rule 14.A.2.

**14.B.3 Price of “Power Play®”**

A. The price of each “Power Play” selected shall be an additional One Dollar (\$1.00) per Play.

1. The “Power Play®” is an add-on to the “Powerball®” 5/69 + 1/26 game. Players who elect to pay an extra One-Dollar (\$1.00) per “Powerball®” Play will have the opportunity to increase Set Prize winnings (excluding the Grand Prize).
2. A Player has the option to Purchase up to ten “Powerball®” with “Power Play®” Plays on a single Ticket as follows:

| NUMBER OF<br>“POWERBALL®”<br>PLAYS | COST OF<br>“POWERBALL®”<br>PLAYS | NUMBER OF<br>“POWER<br>PLAY®”<br>PLAYS | COST OF<br>“POWER<br>PLAY®”<br>PLAYS | TOTAL COST OF<br>“POWERBALL®”<br>WITH “POWER<br>PLAY®” PLAYS |
|------------------------------------|----------------------------------|----------------------------------------|--------------------------------------|--------------------------------------------------------------|
| One (1) Play                       | \$2.00                           | One Play                               | \$1.00                               | \$3.00                                                       |
| Two (2) Plays                      | \$4.00                           | Two<br>Plays                           | \$2.00                               | \$6.00                                                       |
| Three (3) Plays                    | \$6.00                           | Three<br>Plays                         | \$3.00                               | \$9.00                                                       |
| Four (4) Plays                     | \$8.00                           | Four<br>Plays                          | \$4.00                               | \$12.00                                                      |
| Five (5) Plays                     | \$10.00                          | Five<br>Plays                          | \$5.00                               | \$15.00                                                      |
| Six (6) Plays                      | \$12.00                          | Six Plays                              | \$6.00                               | \$18.00                                                      |
| Seven (7) Plays                    | \$14.00                          | Seven<br>Plays                         | \$7.00                               | \$21.00                                                      |
| Eight (8) Plays                    | \$16.00                          | Eight<br>Plays                         | \$8.00                               | \$24.00                                                      |
| Nine (9) Plays                     | \$18.00                          | Nine<br>Plays                          | \$9.00                               | \$27.00                                                      |
| Ten (10) Plays                     | \$20.00                          | Ten<br>Plays                           | \$10.00                              | \$30.00                                                      |

**14.B.4 Play for “Power Play®”**

- A. There will be no change in the Play for the “Powerball®” 5/69 + 1/26 game.
- B. “Power Play®” is effective only for Players who choose “Power Play®” at the time of Purchase and pay an additional \$1.00 per “Powerball®” Play.
1. A Player using a Play Slip can select the option of “Power Play®” which will apply to all Plays Purchased on the Play Slip. If a Play Slip is not available, the Retailer may select the “Power Play®” option via the keyboard at the time the “Powerball®” Ticket is generated.
- C. “Power Play®” multiplier of ten (10) is available when the initial advertised “Powerball®” Jackpot is between Forty Million Dollars (\$40,000,000) to One Hundred and Fifty Million Dollars (\$150,000,000). When the multiplier of ten (10) is available, the multipliers are weighted as follows:

|            | “POWER<br>PLAY®”<br>10 | “POWER<br>PLAY®” 5 | “POWER<br>PLAY®” 4 | “POWER<br>PLAY®” 3 | “POWER<br>PLAY®” 2 | TOTAL    |
|------------|------------------------|--------------------|--------------------|--------------------|--------------------|----------|
| Frequency  | 1                      | 2                  | 3                  | 13                 | 24                 | 43       |
| Percentage | 2.3255                 | 4.6512%            | 6.9767%            | 33.2326%           | 55.8140%           | 99.9608% |

- D. When the initial advertised “Powerball®” Jackpot is greater than One Hundred and Fifty-One Million Dollars (\$151,000,000), the “Powerball®” “Power Play®” multipliers are weighted as follows:

|            | “POWER<br>PLAY®” 5 | “POWER<br>PLAY®” 4 | “POWER<br>PLAY®” 3 | “POWER<br>PLAY®” 2 | TOTAL |
|------------|--------------------|--------------------|--------------------|--------------------|-------|
| Frequency  | 2                  | 3                  | 13                 | 24                 | 42    |
| Percentage | 4.7619%            | 7.1429%            | 30.9523%           | 57.1429%           | 100%  |

**14.B.5 Prizes For “Powerball®” with “Power Play®”**

- A. Players who choose “Power Play®” will have Set Prizes multiplied. Second Prize will be multiplied by two (2X) and Third through Ninth Set Prize will receive an amount equal to the Set Prize multiplied by the drawn “Power Play®” multiplier.

The following table displays Prizes won if “Power Play®” is chosen and the Set Prizes are not pari-mutuel as defined in section 14.A.10.E of Rule 14.A Multi-state Jackpot Game “Powerball®”.

| “POWERBALL®”<br>PRIZE<br>CATEGORY | “POWERBALL®”<br>PRIZE AMOUNT | “POWER<br>PLAY®” 2<br>DRAWN | “POWER<br>PLAY®” 3<br>DRAWN | “POWER<br>PLAY®” 4<br>DRAWN | “POWER<br>PLAY®” 5<br>DRAWN | “POWER<br>PLAY®”<br>10<br>DRAWN |
|-----------------------------------|------------------------------|-----------------------------|-----------------------------|-----------------------------|-----------------------------|---------------------------------|
| Grand Prize                       | Jackpot                      | Jackpot                     | Jackpot                     | Jackpot                     | Jackpot                     | Jackpot                         |
| Second Prize                      | \$1,000,000                  | \$<br>2,000,000             | \$<br>2,000,000             | \$<br>2,000,000             | \$<br>2,000,000             | \$<br>2,000,000                 |
| Third Prize                       | \$50,000                     | \$100,000                   | \$150,000                   | \$200,000                   | \$250,000                   | \$500,000                       |
| Fourth Prize                      | \$100                        | \$200                       | \$300                       | \$400                       | \$500                       | \$1,000                         |
| Fifth Prize                       | \$100                        | \$200                       | \$300                       | \$400                       | \$500                       | \$1,000                         |
| Sixth Prize                       | \$7                          | \$14                        | \$21                        | \$28                        | \$35                        | \$70                            |
| Seventh Prize                     | \$7                          | \$14                        | \$21                        | \$28                        | \$35                        | \$70                            |
| Eighth Prize                      | \$4                          | \$8                         | \$12                        | \$16                        | \$20                        | \$40                            |
| Ninth Prize                       | \$4                          | \$8                         | \$12                        | \$16                        | \$20                        | \$40                            |

- B. If the Set Prizes are pari-mutuel as defined in section 14.A.10E of Rule 14.A Multi-state Jackpot Game “Powerball®”, and the Player has Purchased “Power Play®”, the amount of the pari-mutuel Set Prize will become pari-mutuel for that Drawing.
- C. A “Power Play®” Prize Pool established by the MUSL Board shall be used to fund “Power Play®” Prizes. The Prize Pool shall hold the temporary balances that may result from having fewer than expected Prize Winners for “Power Play®”. The source of the Prize Pool is each Party Lottery’s weekly Prize contributions less actual “Power Play®” Prize liability. The weekly Prize contribution percentage is determined by the MUSL Board and may be collected and placed in trust in the Prize Pool for the purpose of paying “Power Play®” Prizes. The Prize payout percentage per draw may vary. The Prize Pool shall be carried forward to subsequent draws if all or a portion of it is not needed to pay the “Power Play®” Prizes awarded in the current draw and held in the Prize Pool.

**14.B.6 Payment of Prizes**

- A. All Set Prizes with “Power Play®” shall be paid by the Lottery. The Lottery may begin paying Set Prizes after receiving authorization to pay from MUSL.
- B. All Prizes, including those with “Power Play®”, other than the Grand Prize, which, under these rules, may become pari-mutuel Prizes, may be rounded down so that Prizes can be paid in multiples of whole dollars. Breakage resulting from rounding these Prizes shall be carried forward to the Prize Pool for the next Drawing.
- C. The Director’s decision with respect to the Validation and payment of Set Prizes, whether during a “Powerball®” game or any Drawing related thereto, shall be final and binding upon all participants in the Lottery.

**14.B.7 Drawings**

- A. There shall be three (3) “Power Play®” Drawings each week on Monday, Wednesday and Saturday evenings, unless the Drawing schedule is changed by the MUSL Board. In the event of an act of Force Majeure, the Drawing shall be rescheduled at the discretion of the MUSL Board.
- B. Each “Power Play®” Drawing shall determine, at random, a single Number in accordance with Drawing procedures. Any Number drawn is not declared a Winning Number until the Drawing is certified in accordance with the “Powerball®” Drawing procedure. The Number drawn shall be used to determine all “Powerball®” “Power Play®” Prize Amounts for that Drawing. If a “Powerball®” Drawing is not certified, the “Power Play®” Number for the Drawing defaults to “5”.
- C. Each “Power Play®” Drawing shall be witnessed by an auditor, as required in C.R.S 44-40-109 (2)(d). All Drawing equipment used shall be examined by the auditor immediately prior to, but no sooner than thirty (30) minutes before, a Drawing and immediately after, but no later than thirty (30) minutes following the Drawing.
- D. The Drawing shall not be invalidated due to the multiplier drawn creating an excessive Prize liability for the Lottery.
- E. All “Power Play®” Drawings shall be open to the public.
- F. All Drawings, inspections and tests shall be recorded on videotape.

**14.B.8 Sale of Tickets**

- A. “Powerball®” with “Power Play®” Tickets may be Purchased from a Retailer or directly from the Lottery.

- B. “Powerball®” with “Power Play®” Tickets shall show, at a minimum, the Player’s selection of Numbers, the number of Plays, the Drawing date, “Power Play®” option chosen, and Validation Numbers.
- C. A Player of a “Powerball®” Ticket must choose, at the time of Purchase, whether or not he/she wants “Power Play®”.
  - 1. The “Power Play®” option applies to all Plays on a single Ticket and cannot be Purchased on a Play-by-Play basis.
- D. “Powerball®” with “Power Play®” Tickets may not be cancelled.
  - 1. If the “Powerball®” Game is cancelled by the “Powerball®” Product Group prior to the occurrence of all Drawings for which Plays have been sold, the Lottery may provide a refund mechanism for such Plays to the Players, and the Lottery shall not be required to remit its Prize Pool contributions for any such refunded Plays.

#### **14.B.9 Advance Play**

Advance Play provides the opportunity to Purchase “Powerball®” Tickets for more than one (1) consecutive Drawing. A Purchaser of “Powerball®” Tickets may also Purchase the “Power Play®” option for all Advance Play Plays. The “Power Play®” option applies to all Drawings for which the Ticket is Purchased and the “Power Play®” option is selected. Players cannot elect the “Power Play®” option on a Drawing-by-Drawing basis when purchasing Advance Play Tickets. The Advance Play feature shall be available at the discretion of the Director.

### **RULE 14.C MEGA MILLIONS® GAME RULES**

#### **BASIS AND PURPOSE OF RULE 14.C**

The purpose of Rule 14.C is to provide specific game details, instructions and requirements for the Multi-state Jackpot Game “Mega Millions®” such as sale of Tickets, payment of Prizes, and method for selecting and Validating winning Tickets. The statutory bases for Rule 14.C are C.R.S. 44-40-101, 44-40104, 44-40-105, 44-40-109 (1) (a) and (2), 44-40-113 and 44-40-114.

#### **14.C.1 General Provisions**

The Multi-state Jackpot Game known as “Mega Millions®” shall be conducted pursuant to the following Rules and Regulations and such further instructions and directives as the Director and Commission may issue. If a conflict arises between another provision of the Lottery Rules and Regulations and this Rule 14.C, Rule 14.C shall apply. If a conflict arises between this Rule 14.C and the “Mega Millions®” Official Game Rule provided by the Mega Millions® Product Group, the “Mega Millions®” Official Game Rule shall apply.

The Mega Millions® Product Group consists of 12 Party Lotteries and the Multi-state Lottery Association (MUSL) as representation for participating MUSL Party Lotteries.

**14.C.2 Definitions**

In addition to the definitions provided in Rule 1.1 and Rule 14.2 the following definitions apply to this Rule 14.C:

- A. “Board” means that area of the Play Slip that contains sets of numbered squares to be marked by the Player.
- B. “Grand Prize” or “Jackpot” means a pari-mutuel Prize that is advertised to be paid with per-winner annuities or as a lump sum cash payment, unless otherwise specified by the Lottery.
- C. “MUSL Board” means the governing body of the Multi-state Lottery Association Mega Millions® Product Group, which is comprised of the chief executive officer of each Party Lottery.
- D. “Number” means any Play integer from one (1) through seventy (70) inclusive.
- E. “Play” means the six (6) numbers, the first five (5) from a field of seventy (70) numbers and at least one (1) from a field of twenty-four (24) numbers, that appear on a Ticket or Ticketless transaction as a single lettered selection and are to be played by a Player in the game.
- F. “Prize Pool” means a defined percentage of sales as specified in this Rule.
- G. “Set Prize Pool” means an account held by MUSL that holds the temporary balances transferred to MUSL from Party Lotteries, which results from having fewer-than-expected Prize Winners in the Set Prize Categories. This money is paid out to Party Lotteries in subsequent Drawings that have more Prize Winners than are statistically expected in the Set Prize Categories.
- H. The “Multiplier” is a unique number that is automatically selected by computer software. The “Multiplier” increases non Jackpot Prizes by two times, three times, four times, or ten times the Prize won.

**14.C.3 Price of “Mega Millions®” Ticket**

The price of each “Mega Millions®” Play shall be Five Dollars (\$5.00).

**14.C.4 Play for “Mega Millions®”**

- A. A “Mega Millions®” Player must select six (6) Numbers in each play; five (5) Numbers out of seventy (70) plus one (1) out of twenty-four (24). A winning Play is achieved only when the following combinations of Numbers selected match, in any order, the five (5) plus one (1) Winning Numbers drawn. Those combinations are 5+1, 5+0, 4+1, 4+0, 3+1, 3+0, 2+1, 1+1 and 0+1.
- B. Each Mega Millions® Play will include a Multiplier, which is a unique number (2X, 3X, 4X, 5X, 10X) that is automatically selected by computer software and printed directly on a Mega Millions® Ticket. The Multiplier increases non-Jackpot Prizes by two times, three times, four times, five times, or ten times the Prize won.
- C. The Player can use Play Slips, as described in section 14.C.8., to make Number selections. The Gaming Terminal reads the Play Slip and issues a Ticket with corresponding Play(s). If a Play Slip is not available, the Retailer may enter the selected Numbers via the keyboard. If offered by the Lottery, a Player may leave all or a portion of his/her Play selections to a random number generator operated by the Gaming Terminal, commonly referred to as a Quick Pick or partial Quick Pick.
- D. Players who win the Second through Ninth set Prize (any Prize except the Grand Prize) will receive an amount equal to the base Prize multiplied by the “MULTIPLIER®” number generated at the time of Purchase. See the Prize Pool table provided in section 14C.5.B for Prizes won if the set Prizes are not pari-mutuel as defined in Paragraph 14.C.5.C.2 of Rule 14.C.

**14.C.5 Prizes for “Mega Millions®”**

- A. Odds of winning a Prize are displayed in the table below:

| MATCHING COMBINATIONS                                               | PRIZE CATEGORY | ODDS OF WINNING (ONE PLAY) |
|---------------------------------------------------------------------|----------------|----------------------------|
| All five (5) of first set plus one (1) of second set                | Grand Prize    | 1:290,472,336              |
| All five (5) of first set plus none of second set                   | Second Prize   | 1:12,629,232               |
| Any four (4) of first set, but not five, plus one (1) of second set | Third Prize    | 1:893,761                  |
| Any four (4) of first set, but not five, plus none of second set    | Fourth Prize   | 1:38,859                   |

| MATCHING COMBINATIONS                                                                  | PRIZE CATEGORY | ODDS OF WINNING (ONE PLAY) |
|----------------------------------------------------------------------------------------|----------------|----------------------------|
| Any three (3) of first set, but not four or five, plus one (1) of second set           | Fifth Prize    | 1:13,965                   |
| Any three (3) of first set, but not four or five, plus none of second set              | Sixth Prize    | 1:607                      |
| Any two (2) of first set, but not three, four or five, plus one (1) of second set      | Seventh Prize  | 1:665                      |
| Any one (1) of first set, but not two, three, four or five, plus one (1) of second set | Eighth Prize   | 1:86                       |
| None of first set plus one (1) of second set                                           | Ninth Prize    | 1:35                       |
| Overall odds of winning any Prize                                                      |                | 1:23.07                    |

**B. Multiplier Frequency Table**

| Multiplier | Frequency | Odds                            |
|------------|-----------|---------------------------------|
| 10         | 1         | 32.00                           |
| 5          | 2         | 16.00                           |
| 4          | 4         | 8.00                            |
| 3          | 10        | 3.20                            |
| 2          | 15        | 2.13                            |
|            |           |                                 |
|            | 32        | 3.00 (Average Multiplier Value) |

- C. The Prize Pool contribution for all Prize Categories shall consist of up to fifty-five percent (55%) of each Drawing period sales, inclusive of contributions to the Prize Pool accounts and Prize Reserve Accounts (PRA). An amount up to five percent (5%) of a Party Lottery's sales shall be added to a Party Lottery's Mega Millions® Prize Pool contribution and placed in trust in one or more Prize pool and PRA held by the Product Group at any time that the Party Lottery's share of the PRA is below the amounts designated by the Product Group.
- D. Players who win the Second through Ninth set Prize (any Prize except the Jackpot Prize) will receive an amount equal to the base Prize multiplied by the "Multiplier®" number generated at the time of Purchase. See the table below for Prizes won if the set Prizes are not pari-mutuel as defined in Paragraph 14.C.5.E.2.

| Prize Category | Base Prize        | Range of Prize Win | Average Prize | Percent of Payout | Percent of Sales |
|----------------|-------------------|--------------------|---------------|-------------------|------------------|
| Grand Prize    | Announced Jackpot | Jackpot ~ \$803M   | Same          | 55.26*%           | 27.63%           |
| Second Prize   | \$1,000,000       | \$2M - \$10M       | \$3M          | 9.50%             | 4.75%            |
| Third Prize    | \$10,000          | \$20k - \$100k     | \$30,000      | 1.34%             | 0.67%            |
| Fourth Prize   | \$500             | \$1k - \$5k        | \$1,500       | 1.54%             | 0.77%            |
| Fifth Prize    | \$200             | \$400 - \$2k       | \$600         | 1.72%             | 0.86%            |
| Sixth Prize    | \$10              | \$20 - \$100       | \$30          | 1.98%             | 0.99%            |
| Seventh Prize  | \$10              | \$20 - \$100       | \$30          | 1.80%             | 0.90%            |
| Eighth Prize   | \$7               | \$14 - \$70        | \$21          | 9.79%             | 4.89%            |
| Ninth Prize    | \$5               | \$10 - \$50        | \$15          | 17.06%            | 8.53%            |
| TOTAL          |                   |                    |               | 100.00%           | 50.00%           |

- E. Prize Categories - The Grand Prize shall be determined on a pari-mutuel basis. All other Prizes awarded shall be paid as Set Prizes based on Multiplier and base Prize amount with the foregoing expected Prize payout percentages:
1. The Grand Prize shall be divided equally by the number of Game Plays matching all five (5) of the first set plus one (1) of the second set.
  2. If the total of the original Mega Millions® Set Prizes and the Multiplier Prize Amounts awarded in a Drawing exceeds the percentage of the Prize Pools allocated to the set Prizes, then the amount needed to fund the Set Prizes (including the Multiplier Prize Amounts) awarded can be drawn from the Prize Pool Accounts and PRA or become parimutuel Prizes as determined by the Product Group.
- F. If the set Prizes are pari-mutuel as defined in Paragraph 14.C.5.C.2 of Rule 14.C, the amount of the pari-mutuel set Prize will be multiplied by the “MULTIPLIER®” randomly assigned and printed next to the play on the Ticket at the time of Purchase

**14.C.6 Payment of Prizes**

- A. Grand Prizes shall be paid at the election of the Ticket Holder either by a single cash payment or in a series of annuity payments. The Ticket Holder becomes entitled to the Prize at the time the Prize is Validated as a Prize Winner. The election to take the cash payment or annuity payments may be made at the time the Prize is Validated or within 60 days after the Ticket Holder becomes entitled to the Prize. If no election is made within 60 days after the Ticket Holder becomes entitled to the Prize, the Prize shall be paid as an annuity. The election is final and cannot be revoked, withdrawn or otherwise changed.
1. Shares of the Grand Prize shall be determined by dividing the cash available in the Grand Prize Pool equally among all boards matching all five (5) of the first set plus one (1) of the second set of drawn Numbers. Winner(s) who elect a cash payment shall be paid their Share(s) in a single cash payment.
    - a. The Product Group may, but is not required to, offer guaranteed minimum Grand Prize Amounts or minimum increases in the Grand Prize Amount between Drawings. The Product Group may make other changes in the allocation of Prize money where the Product Group finds that it would be in the best interest of the game.
    - b. The cash option Prize shall be determined by dividing the Grand Prize amount that would be paid over thirty (30) annual installments by a rate established by the Mega Millions® Finance Committee prior to each Drawing divided by the number of total jackpot winners.

2. All annuitized Prizes shall be paid annually in thirty (30) graduated payments.
  3. Funds for the initial payment of an annuitized Prize or the lump sum cash Prize shall be made available by MUSL for payment by the Lottery no earlier than the fifteenth calendar day (or the next banking day if the fifteenth day is a holiday) following the Drawing. If necessary, when the due date for the payment of a Prize occurs before the receipt of funds in the Prize Pool trust sufficient to pay the Prize, the transfer of funds for the payment of the full lump sum cash amount may be delayed pending receipt of funds from the Party Lotteries. The Lottery may elect to make the initial payment from its own funds after Validation, with notice to MUSL.
  4. In the event of the death of a Lottery Prize Winner during the annuity payment period, the Product Group, in its sole discretion, upon the petition of the estate of the Lottery Prize Winner (the "Estate") to the Lottery, and subject to federal, state, or district applicable laws, may accelerate the payment of all of the remaining Lottery proceeds to the Estate. If the Product Group makes such a determination, then securities and/or cash held to fund the deceased Lottery Prize Winner's annuitized Prize may be distributed to the Estate. The identification of the securities to fund the annuitized Prize shall be at the sole discretion of the Product Group.
- B. The Director's decision with respect to the Validation and payment of Set Prizes, whether during a "Mega Millions®" game or any Drawing related thereto, shall be final and binding upon all participants in the Lottery.
- C. All Set Prizes (excluding the Grand Prize) shall be paid by the Lottery. The Lottery may begin paying Set Prizes after receiving authorization to pay from the MUSL Central Office. All liability for a "Mega Millions®" Prize is discharged upon payment of a Prize claim.
- D. Annuitized payments of the Grand Prize or a Share of the Grand Prize may be rounded to facilitate the Purchase of an appropriate funding mechanism. Breakage on an annuitized Grand Prize win shall be added to the first cash payment to the Prize Winner(s).
- E. Set Prizes, which, under these rules, may become pari-mutuel Prizes, may be rounded down so that Prizes can be paid in multiples of whole dollars. Breakage resulting from rounding these Prizes shall be carried forward to the Prize Pool for the next Drawing.
- F. If the Grand Prize is not won in a Drawing, the Prize money allocated for the Grand Prize shall Roll-Over and be added to the Grand Prize Pool for the following Drawing.

**14.C.7 Drawings**

- A. There shall be two (2) “Mega Millions®” Drawings each week on Tuesday and Friday evenings, unless the Drawing schedule is changed by the MUSL Board. In the event of an act of Force Majeure, the Drawing shall be rescheduled at the discretion of the MUSL Board.
- B. Each Drawing shall determine, at random, six (6) winning Numbers in accordance with Drawing Procedures. Any Numbers drawn are not declared the Winning Combination until the Drawing is certified by MUSL in accordance with the “Mega Millions®” Drawing Procedure. The Winning Combination shall be used in determining all “Mega Millions®” Prize Winners for that Drawing. If a Drawing is not certified, another Drawing will be conducted to determine certified Prize Winners.
- C. Each Drawing shall be witnessed by an independent auditor as required in C.R.S. 44-40-109(2)(d). All Drawing equipment used shall be examined prior to and immediately after a Drawing. All Drawings, inspections, and tests shall be recorded on videotape.
- D. The Drawing shall not be invalidated because the Numbers drawn creating create an excessive Prize liability for the Lottery. E. The Drawing Procedures shall provide that a minimum of fifty-nine (59) minutes elapse between the close of the game Ticket sales and the time of the Drawing for those Tickets sold.
- F. All Drawings shall be open to the public.

**14.C.8 Sale of Tickets**

- A. “Mega Millions®” Tickets may be Purchased from a Retailer authorized to Sell Multi-state Jackpot Tickets or directly from the Lottery.
- B. “Mega Millions®” Tickets shall show, at a minimum, the Player’s selection of Numbers, the number of Plays, the Drawing date, Random Multiplier (2X, 3X, 4X, 5X, 10X), and Validation Numbers.
- C. Plays may be entered manually using the Gaming Terminal keypad or by means of a Play Slip provided by the Lottery. Facsimiles of Play Slips, copies of Play Slips, or other materials which are inserted into the Gaming Terminal’ Play Slip reader and which are not printed or approved by the Lottery shall not be used to enter a Play. No device shall be connected to a Gaming Terminal to enter Plays, except as may be approved by the Lottery. Unapproved Play Slips or other devices may be seized by the Lottery.
  - 1. All Plays shall be marked on the Play Slip by hand. No machine-printed Play Slips shall be used to enter Plays. Machine-printed Play Slips may be seized by the Lottery.

D. “Mega Millions®” Tickets may not be cancelled.

1. If the “Mega Millions®” game is cancelled by the Product Group prior to the occurrence of all Drawings for which Plays have been sold, the Lottery may provide a refund mechanism for such Plays to the Players, and the Lottery shall not be required to remit its Prize Pool contributions for any such refunded Plays.

**14.C.9 Advance Play**

Advance Play provides the opportunity to Purchase “Mega Millions®” Tickets for more than one (1) consecutive Drawing. Advance Play Tickets shall be available for Purchase in variable increments. The Advance Play feature shall be available at the discretion of the Director.

**14.C.10 Prize Reserve and Prize Pool Accounts**

**14.C.11 Grand Prize Account**

- A. The draw reports determine whether the Party Lotteries owe funds to MUSL or MUSL needs to transfer money to Party Lotteries. The Lottery shall transfer to MUSL in trust an amount as determined to be its total proportionate share of the Prize account less actual Set Prize liability. If this results in a negative amount, the MUSL central office shall transfer funds to the Lottery.
- B. All funds to pay a Grand Prize that go unclaimed shall be returned to the Lottery by MUSL in proportion to sales by the Lottery for the Grand Prize in question after the claiming period set by the Lottery selling the winning Ticket expires.

**14.C.12 Funds Transfer**

- A. Funds shall be collected by MUSL from each Party Lottery by wire transfer or other means acceptable to the Product Group. The Product Group shall determine collection days. The amount to be transferred shall be calculated in accordance with “Mega Millions®” Game Rules.
- B. The Grand Prize Amount held by MUSL shall be transferred to the Lottery after the Lottery Validates the Grand Prize claim and after MUSL has collected the Prize Pool Shares from all Party Lotteries.
- C. The Grand Prize Amount held by MUSL for subsequent payment to annuity Prize Winners shall be transferred to the Lottery within seven (7) days preceding the anniversary date of the selection of the Winning Combination. The Lottery will make payment to the annuity Prize Winner after the Grand Prize Amount is received from MUSL.

**14.C.13 MUSL Accounting and Finance**

- A. The Product Group may establish a maximum balance for the PRA. The Prize reserve contribution shall be used to fund the PRA until it reaches its maximum balance amounts. Once PRA Shares reaches the Lottery's maximum balance amounts, Prize reserve contributions will not be collected from the Lottery. The Shares of the Lottery may be adjusted with refunds to the Lottery from the PRA as may be needed to maintain the approved maximum balance and Shares of the Lottery. Any amount remaining at the end of this game shall be returned to the Party Lotteries, carried forward to a replacement PRA or expended in a manner as directed by the Product Group in accordance with Colorado law.
- B. The draw reports determine whether the Lottery owes and needs to transfer funds to MUSL, or MUSL owes and needs to transfer funds to the Lottery. (The procedures and corresponding time lines documenting the timely and effective transfer of funds between the Lottery and MUSL can be found in the Lottery's financial procedures.) Three (3) different transfers are made on a continual basis:
1. Draw receivables transferred from the Lottery to MUSL,
  2. Set Prize payments and Initial Grand Prize payments transferred from MUSL to the Lottery, and
  2. Subsequent Grand Prize annuity payments from MUSL to the Lottery.

**RULE 14.D [Repealed eff. 04/04/2025]**

**Rule 14.E "LUCKY FOR LIFE®" GAME RULES**

**BASIS AND PURPOSE OF RULE 14.E**

The purpose of Rule 14.E is to provide details, instructions and requirements for the Colorado Lottery Multi-state Jackpot Game "Lucky for Life®" such as sale of Tickets, payment of Prizes, and method for selecting and Validating winning Tickets. The statutory basis for Rule 14.E is C.R.S. 44-40-101, 44-40-109(1)(a) and (2), 44-40-113, and 44-40-114.

**14.E.1 General Provisions**

The Multi-state Jackpot Game known as "Lucky for Life®" shall be conducted pursuant to the following Rules and Regulations and such further instructions and directives as the Director and Colorado Lottery Commission may issue. If a conflict arises between another provision of the Lottery Rules and Regulations and this Rule 14.E, Rule 14.E shall apply. If a conflict arises between this Rule 14.E and the "Lucky for Life®" Official Game Rule provided by the Managing Lotteries, the "Lucky for Life®" Official Game Rule shall apply. This Rule 14.E "LUCKY FOR LIFE" GAME RULES will expire on 02/21/2026.

**14.E.2 Definitions**

In addition to the definitions provided in section Rule 1.1 and Rule 14.2, the following definitions apply this Rule 14.E:

- A. "Annuitized Payment Option" means payment of a Top Prize or Second Prize in equal payments or installments. The Annuitized Payment Option shall be calculated on an annual basis.
- B. "Cash Option" means payment of a Top Prize or Second Prize in a single cash payment equal to the value of the non-annuitized Prize.
- C. "Clearinghouse Lottery" means the Party Lottery or other duly authorized entity that is responsible for collecting and transferring Prize payouts on behalf of all Party Lotteries.
- D. "Game Board" means that area of the Play Slip that contains a set of two (2) grids. The first grid contains forty-eight (48) squares, numbered one (1) through forty-eight (48), and the second grid contains eighteen (18) squares, numbered one (1) through eighteen (18).
- E. "Liability Limit" means the pre-established threshold, as determined in advance by the New England Lottery directors for paying Top Prize, Second Prize, and Third Prize Payments.
- F. "Lifetime Prize" means the natural life of a single Claimant or twenty (20) years if assigned to an entity or Person under C.R.S. 44.40.113(1).
- G. "Managing Lotteries" means the originating lotteries which are: Connecticut Lottery Corporation, Maine State Liquor and Lottery Commission, Massachusetts State Lottery Commission, New Hampshire Lottery Commission, Ohio Lottery Commission, Rhode Island Division of Lotteries, and the Vermont Lottery Commission.
- H. "Managing Lotteries Board" means the governing body of Managing Lotteries, which is comprised of the chief executive officer of each Party Lottery.
- I. "Number" means any Play integer from one (1) through forty-eight (48) inclusive.
- J. "Play" means the six (6) Numbers selected on each Game Board and printed on the Ticket.
- K. "Prize Pool" means a defined percentage of sales as specified in this rule.
- L. "Published Notice" means notice of the Prize Amount and any changes to the Cash Option, which shall be posted on the Colorado Lottery Website and/or the Lucky for Life® Website at least thirty (30) days prior to the Drawing for which it is applicable.

- M. “Second Prize” means a Prize paid on a pari-mutuel basis, the Claimant has the option to be paid as an annuity or as a lump sum cash payment, unless otherwise specified by Lottery Rules.
- N. “Split Prize” means the pre-determined Top Prize, Second Prize, and Third Prize payout that is divided equally among the Number of winning Tickets in each of these three Prize Categories.
- O. “Top Prize” means a Prize paid on pari-mutuel basis. The Claimant has the option to be paid as an annuity or as a lump sum cash payment, unless otherwise specified by Lottery Rules.

#### **14.E.3 Price of “Lucky for Life®” Ticket**

The price of each “Lucky for Life®” Play shall be Two Dollars (\$2.00).

#### **14.E.4 Play for “Lucky for Life®”**

- A. A “Lucky for Life®” Player must select six (6) Numbers per Play; five (5) Numbers out of forty-eight (48) plus one (1) out of eighteen (18). A winning Play is achieved only when the following combinations of Numbers selected match, in any order, the five (5) plus one (1) Winning Numbers drawn. Those combinations are 5+1, 5+0, 4+1, 4+0, 3+1, 3+0, 2+1, 2+0, 1+1, and 0+1.
- B. The Player can use Play Slips, as described in Section 14.E.8.C to make Number selections. The Gaming Terminal reads the Play Slip and issues a Ticket with corresponding Play(s). If a Play Slip is not available, the Retailer may enter the selected Numbers via the keyboard. If offered by the Lottery, a Player may leave all or a portion of his/her Play selections to a random number generator operated by the Gaming Terminal, commonly referred to as a Quick Pick or partial Quick Pick.

**14.E.5 Prizes for “Lucky for Life®”**

A. Odds of winning a Prize are displayed in the table below:

| WINNING COMBINATIONS                                                                    | PRIZE CATEGORY | ODDS OF WINNING (ONE PLAY) |
|-----------------------------------------------------------------------------------------|----------------|----------------------------|
| All five (5) of first set plus one (1) of second set                                    | Top Prize      | 1:30,821,472.000           |
| All five (5) of first set plus none of second set                                       | Second Prize   | 1:1,813,027.765            |
| Any four (4) of first set, but not five, plus one (1) of second set                     | Third Prize    | 1:143,355.684              |
| Any four (4) of first set, but not five, plus none of second set                        | Fourth Prize   | 1:8,432.687                |
| Any three (3) of first set, but not four or five, plus one (1) of second set            | Fifth Prize    | 1:3,413.231                |
| Any three (3) of first set, but not four or five, plus none of second set               | Sixth Prize    | 1:200.778                  |
| Any two (2) of first set, but not three, four or five, plus one (1) of second set       | Seventh Prize  | 1:249.749                  |
| Any two (2) of the first set, but not three, four, or five, plus none of the second set | Eighth Prize   | 1:14.691                   |
| Any one (1) of first set, but not two, three, four or five, plus one (1) of second set  | Ninth Prize    | 1:49.950                   |
| None of first set plus one (1) of second set                                            | Tenth Prize    | 1:32.019                   |

- B. The Prize Pool contribution for all Prize Categories shall consist of fifty-nine percent (59%) of each Drawing period sales. Any amount remaining in the Prize Pool at the end of this game shall be carried forward to a replacement game or expended in a manner as directed by the Product Group in accordance with state law.

**PRIZE POOL**

| PRIZE CATEGORY | PRIZE AMOUNTS            | PRIZE POOL PERCENTAGE OF SALES |
|----------------|--------------------------|--------------------------------|
| Top Prize      | \$7,000 a week for life  | 10.2201%                       |
| Second Prize   | \$25,000 a year for life | 11.6380%                       |
| Third Prize    | \$5,000                  | 1.7439%                        |
| Fourth Prize   | \$200                    | 1.1859%                        |
| Fifth Prize    | \$150                    | 2.1973%                        |
| Sixth Prize    | \$20                     | 4.9806%                        |
| Seventh Prize  | \$25                     | 5.0050%                        |
| Eighth Prize   | \$3                      | 10.2103%                       |
| Ninth Prize    | \$6                      | 6.0060%                        |
| Tenth Prize    | \$4                      | 6.2463%                        |
| TOTAL PAYOUT   |                          | 59.4335%                       |

- C. Prize Categories – Top Prize, Second (2<sup>nd</sup>) Prize, and Third (3<sup>rd</sup>) Prize are split Prize Categories. Fourth (4<sup>th</sup>) Prize through Tenth (10<sup>th</sup>) Prize are set Prize Categories.

1. Split Prize levels are paid as follows:
  - a. Top Prize: One (1) winner receives the full annuity value of Seven Thousand Dollars (\$7,000) a week for life, or according to such other schedule of payments set at the discretion of the Lottery, with the option of taking the cash value.
    - (1) The Top Prize cash value is set forth in the “Published Notice” available on the Gaming Terminal, the Colorado Lottery Website, and/or the Lucky for Life® Website. The cash value can be revised thirty (30) days prior to the first Drawing to which it is applicable.
    - (2) All annuitized payments shall be made for a minimum of twenty (20) years.

- (3) Two (2) to fourteen (14) Top Prize Winners share equally in the parimutuel Prize of Seven Thousand Dollars (\$7,000) a week for life with the option of taking the Cash Value divided by the total number of Top Prize Winners. The cash option must be taken if the annuitized value is less than Five Hundred Dollars (\$500) a week for life.
  - (4) Fifteen (15) or more Top Prize Winners share equally in a pari-mutuel Prize of Seven Million One Hundred and Twenty-Five Thousand Dollars (\$7,125,000). No Annuitized Payment Option shall be available at this level.
  - (5) For a single wager, the natural life of the Top Prize Winner shall be used to determine the duration over which the Top Prize is paid. If more than one (1) Person is a Top Prize Winner under a single Wager, the Top Prize will be paid over twenty (20) years.
- b. Second Prize: One (1) to twenty (20) Winners receives the full annuity value of Twenty-Five Thousand Dollars (\$25,000) a year for life with the option of taking the cash value.
  - (1) The Second Prize cash value is set forth in the "Published Notice" available on the Gaming Terminal, the Colorado Lottery Website, and/or the Lucky for Life® website. The cash value can be revised thirty (30) days prior to the first Drawing in which it is applicable.
  - (2) All annuitized payments shall be made for a minimum of twenty (20) years.
  - (3) Twenty-One (21) or more Second Prize Winners share equally in the pari-mutuel Prize of Nine Million and Four Hundred Thousand Dollars (\$9,400,000). No Annuitized Payment Option shall be available at this level.
  - (4) The minimum Prize value for Second Prize shall not be less than any lower Prize Category Prize paid in that respective Drawing.
  - (5) For a single wager, the measuring life of a Second Prize Winner used to determine the duration over which the Second Prize is paid, shall be the natural life of the individual. If the Second Prize under a single wager is being claimed by more than one (1) Person, the measuring life for that Second Prize Winner shall be twenty (20) years.

- c. Third Prize: One (1) to one thousand (1,000) Third Prize Winners will receive Five Thousand Dollars (\$5,000).
    - (1) One thousand and one (1,001) or more Third Prize Winners will equally share a pari-mutuel Prize of Five Million Dollars (\$5,000,000).
    - (2) The minimum Prize value for a Third Prize shall not be less than Two Hundred Dollars (\$200).
- 2. Set Prize Categories are a guaranteed Prize and will not be paid as pari-mutuel.

**14.E.6 Payment of Prizes**

- A. All Prizes shall be paid by the Lottery. At the discretion of the Lottery, Prizes may be paid prior to receiving authorization from the Clearinghouse Lottery.
- B. Top Prize payments will be made according to payment selection.
  - 1. If the Annuitized Payment Option is selected the initial payment will be made at the time of the claim, after the verification of the Prize Amount. All subsequent payments will be made on a weekly basis from the date the Prize is claimed.
    - a. Annuitized payments of the Top Prize or a share of the Top Prize may be rounded to facilitate the Purchase of an appropriate funding mechanism. Breakage on an annuitized Top Prize win shall be added to the first payment to the winner or winners.
  - 2. If the cash Option is selected the Prize shall be paid at the time of the claim, after the verification of the Prize Amount.
- C. Second Prize payments will be made according to payment selection.
  - 1. If the Annuitized Payment Option is selected the initial payment is made at the time of claim. All subsequent payments will be made on an annual basis.
    - a. Annuitized payments of the Second Prize or a share of the Second Prize may be rounded to facilitate the Purchase of an appropriate funding mechanism. Breakage on an annuitized Second Prize win shall be added to the first payment to the winner or winners.
  - 2. If the Cash Option is selected the Prize will be paid at the time of the claim, after the verification of Prize Amount.

**14.E.7 Drawings**

- A. The “Lucky for Life®” Drawings shall be drawn once daily, unless the Drawing schedule is changed by the Managing Lotteries.
- B. Each Drawing shall determine, at random, six (6) Winning Numbers in accordance with Drawing Procedures. Any Numbers drawn are not declared Winning Numbers until the Drawing is certified by the Managing Lotteries in accordance with the “Lucky for Life®” Drawing procedure. The Winning Numbers shall be used in determining all “Lucky for Life®” Winners for that Drawing. If a Drawing is not certified, another Drawing will be conducted to determine certified Prize Winners.
- C. The Drawing procedures shall provide that a minimum of sixty (60) minutes elapse between the close of the game Ticket sales and the time of the Drawing for those Tickets sold.
- D. All Drawings shall be open to the public.

**14.E.8 Sale of Tickets**

- A. “Lucky for Life®” Tickets may be Purchased from a Retailer authorized to Sell Multi-state Jackpot Tickets.
- B. “Lucky for Life®” Tickets shall show, at a minimum, the Player’s selection of Numbers, the number of Plays, the Drawing date, and Validation numbers.
- C. Plays may be entered manually using the Gaming Terminal keypad or by means of a Play Slip provided by the Division. No device shall be connected to a Gaming Terminal to enter Plays, except as may be approved by the Lottery.
- D. “Lucky for Life®” Tickets may not be cancelled, unless express permission is granted by the Division.

**14.E.9 Advance Play**

- A. Advance Play provides the opportunity to Purchase “Lucky for Life®” Tickets for more than one (1) consecutive Drawing. Advance Play Tickets shall be available for Purchase in variable increments. The Advance Play feature shall be available at the discretion of the Director.
- B. The cash value may be adjusted during the life of an Advance Play Ticket per the Published Notice as referenced in 14.E.5.C.1.a.(1).

**14.E.10 Managing Lotteries Accounting and Finance**

- A. When a Lottery joins the ““Lucky For Life®”” Product Group, the Managing Lotteries shall revise the existing budget and assess the Lottery for the additional costs. Each July, thereafter, the Managing Lotteries sets the budget for the impending year and assesses each Lottery their proportionate share. The Lottery receives a copy of these costs and an election form.
- B. The draw reports determine whether the Lottery owes and needs to transfer funds to the MUSL, or the MUSL owes and needs to transfer funds to the Lottery. (The procedures and corresponding time lines documenting the timely and effective transfer of funds between the Lottery and the MUSL can be found in the Lottery’s financial procedures.) Prize payments are transferred between the MUSL and the Lottery as required to cover Prize payments.

## **RULE 14.F “POWERBALL®” - “DOUBLE PLAY®” GAME RULES**

### **BASIS AND PURPOSE OF RULE 14.F**

The purpose of Rule 14.F is to provide details and requirements for the Colorado Lottery Multi-state Jackpot Game “Powerball®” “Double Play®” option such as sale of Tickets, payment of Prizes, and method for Validating winning Tickets. The statutory basis for Rule 14.F is found in C.R.S. 44-40-101, 4440-109 (1)(a) and (2), 44-40-113, and 44-40-114.

#### **14.F.1 General Provisions**

The Multi-state Jackpot Game known as “Powerball®” shall have a game option known as “Double Play®”, which allows Players to pay an additional One Dollar (\$1.00) for a chance to win a second Drawing, of five (5) out of sixty-nine (69) plus one (1) of twenty-six (26) Lottery game, using the same numbers the Player selected for their “Powerball®” Play. This Drawing will occur on the same day(s), time(s) and location(s) as determined by the Powerball Product Group. “Double Play®” is an additional add-on to the “Powerball®” game, and does not replace or alter “Power Play®”. “Power Play®” is not available with the “Double Play®” promotion. “Double Play®” Prizes will not be multiplied or increased by the “Power Play®” game.

“Double Play®” shall be conducted pursuant to the following Rules and Regulations and under such further instructions and directives as the Director and Colorado Lottery Commission may issue. If a conflict arises between another provision of the Lottery Rules and Regulations and this Rule 14.F, Rule 14.F shall apply. If a conflict arises between this Rule 14.F and the “Powerball Double Play®” Official Game Rule provided by the Multi-state Lottery Association, the “Powerball Double Play®” Official Game Rule shall apply.

#### **14.F.2 Definitions**

Refer to the definitions provided in Rule 1.1, Rule 14.2 and Rule 14.A.2.

#### **14.F.3 Price of “Double Play®”**

- A. The price of each “Double Play®” selected shall be an additional One Dollar (\$1.00) per Play.
  - 1. The “Double Play®” is an add-on to the “Powerball®” 5/69 + 1/26 game. Players who elect to pay an extra One-Dollar (\$1.00) per “Powerball®” will have a second chance to win a new set of Prizes, using the same numbers the Player selected for their Powerball Play.

2. A Player has the option to Purchase up to ten “Powerball®” with “Double Play®” Plays or up to ten “Powerball® with Power Play®” with “Double Play®” on a single Ticket as follows:

| NUMBER OF<br>“POWERBALL®”<br>PLAYS | COST OF<br>“POWERBALL®”<br>PLAYS | ADDITIONAL COST<br>OF “DOUBLE<br>PLAY®” PLAYS | ADDITIONAL<br>COST OF<br>“POWER<br>PLAY®”<br>PLAYS | TOTAL COST OF<br>“POWERBALL®” WITH<br>“POWER PLAY®” AND<br>“DOUBLE PLAY®” |
|------------------------------------|----------------------------------|-----------------------------------------------|----------------------------------------------------|---------------------------------------------------------------------------|
| One (1) Play                       | \$2.00                           | \$1.00                                        | \$1.00                                             | \$4.00                                                                    |
| Two (2) Plays                      | \$4.00                           | \$2.00                                        | \$2.00                                             | \$8.00                                                                    |
| Three (3) Plays                    | \$6.00                           | \$3.00                                        | \$3.00                                             | \$12.00                                                                   |
| Four (4) Plays                     | \$8.00                           | \$4.00                                        | \$4.00                                             | \$16.00                                                                   |
| Five (5) Plays                     | \$10.00                          | \$5.00                                        | \$5.00                                             | \$20.00                                                                   |
| Six (6) Plays                      | \$12.00                          | \$6.00                                        | \$6.00                                             | \$24.00                                                                   |
| Seven (7) Plays                    | \$14.00                          | \$7.00                                        | \$7.00                                             | \$28.00                                                                   |
| Eight (8) Plays                    | \$16.00                          | \$8.00                                        | \$8.00                                             | \$32.00                                                                   |
| Nine (9) Plays                     | \$18.00                          | \$9.00                                        | \$9.00                                             | \$36.00                                                                   |
| Ten (10) Plays                     | \$20.00                          | \$10.00                                       | \$10.00                                            | \$40.00                                                                   |

**14.F.4 Play for “Double Play®”**

- A. There will be no change in the Play for the “Powerball®” 5/69 + 1/26 game.
- B. “Double Play®” is effective only for Players who choose “Double Play®” at the time of Purchase and pay an additional \$1.00 per “Powerball®” Play.
1. A Player using a Play Slip can select the option of “Double Play®” which will apply to all Plays Purchased on the Play Slip. If a Play Slip is not available, the Retailer may select the “Double Play®” option via the keyboard at the time the “Powerball®” Ticket is generated.
- C. “Double Play®” is an additional add-on to the “Powerball®” game, and does not replace or alter “Power Play®”. “Power Play®” is not available with the “Double Play®” promotion.

**14.F.5 Prizes For “Powerball®” with “Double Play®”**

- A. Players who choose “Double Play®” will have Set Prizes.
- B. “Powerball®” and “Double Play®” Prizes are determined separately; a Player may win both a “Powerball®” Prize and a “Double Play®” Prize, if their numbers match the “Powerball®” winning numbers and also the “Double Play®” winning numbers. “Double Play®” Prizes will not be multiplied or increased by the “Power Play®” game.

The following table displays Prizes won if “Double Play®” is chosen and the Set Prizes are not pari-mutuel as defined in section 14.A.10.E of Rule 14.A Multi-state Jackpot Game “Powerball®”.

| WINNING COMBINATIONS                                  | “POWERBALL® WITH DOUBLE PLAY®” PRIZE AMOUNT | ODDS OF WINNING |
|-------------------------------------------------------|---------------------------------------------|-----------------|
| All five (5) of first set plus one (1) of second set  | \$10,000,000                                | 1:292,201,338   |
| All five (5) of first set and none of second set      | \$500,000                                   | 1:11,688,053.52 |
| Any four (4) of first set plus one (1) of second set  | \$50,000                                    | 1:913,129.1813  |
| Any four (4) of first set and none of second set      | \$500                                       | 1:36,525.1673   |
| Any three (3) of first set plus one (1) of second set | \$500                                       | 1:14,494.1140   |
| Any three (3) of first and none of second set         | \$20                                        | 1:579.7646      |
| Any two (2) of first set plus one (1) of second set   | \$20                                        | 1:701.3281      |
| Any one (1) of first set plus one (1) of second set   | \$10                                        | 1:91.9775       |

| WINNING COMBINATIONS                         | "POWERBALL® WITH DOUBLE PLAY®" PRIZE AMOUNT | ODDS OF WINNING |
|----------------------------------------------|---------------------------------------------|-----------------|
| None of first set plus one (1) of second set | \$7                                         | 1:38.3239       |
| OVERALL ODDS                                 |                                             | 1:24.8671       |

- C. If the Set Prizes are pari-mutuel as defined in section 14.A.10E of Rule 14.A Multi-state Jackpot Game "Powerball®", and the Player has Purchased "Double Play®", the amount of the parimutuel Set Prize will become pari-mutuel for that Drawing.
- D. "Double Play®" Prize Pool Accounts established by the MUSL Board shall be used to fund "Double Play®" Prizes. The First Prize Pool (FPP) is used to fund the First Prize and fund deficiencies in the "Double Play®" Set Prize Pool (DPSPP). Any funds not used to pay a First Prize or fund deficiencies in the DPSPP shall accumulate in this pool until such time as funds are needed to pay a First Prize or fund deficiencies in the DPSPP. The "Double Play®" Set Prize Pool is used to fund the "Double Play®" Set or Lower Tier Prizes. The DPSPP shall hold the temporary balances that may result from having fewer than expected Prize Winners in the "Double Play®" Set Prize Categories. The source of the DPSPP is each Party Lottery's weekly Prize contributions less actual "Double Play®" Prize liability.
- E. The number of Prize Categories and the allocation of the Prize fund among the Prize Categories may be changed at the discretion of the Product Group.

#### **14.F.6 Payment of Prizes**

- A. All Set Prizes with "Double Play®" shall be paid by the Lottery. The Lottery may begin paying Set Prizes after receiving authorization to pay from MUSL.
- B. All Prizes, including those with "Double Play®", other than the Top Prize, which, under these rules, may become pari-mutuel Prizes, shall be paid as single payment Prizes. Breakage resulting from rounding these Prizes shall be carried forward to the Prize Pool for the next Drawing.
- C. The Director's decision with respect to the Validation and payment of Set Prizes, whether during a "Powerball®" game or any Drawing related thereto, shall be final and binding upon all participants in the Lottery.

**14.F.7 Drawings**

- A. There shall be three (3) “Double Play®” Drawings each week on Monday, Wednesday and Saturday evenings, unless the Drawing schedule is changed by the MUSL Board.
- B. Each “Double Play®” Drawing shall be witnessed by an auditor, as required in C.R.S 44-40-109 (2)(d). All Drawing equipment used shall be examined by the auditor immediately prior to, but no sooner than thirty (30) minutes before, a Drawing and immediately after, but no later than thirty (30) minutes following the Drawing.
- C. All “Double Play®” Drawings shall be open to the public.

**14.F.8 Sale of Tickets**

- A. “Powerball®” with “Double Play®” Tickets may be Purchased from a Retailer authorized to Sell Multi-state Jackpot Tickets or directly from the Lottery.
- B. “Powerball®” with “Double Play®” Tickets shall show, at a minimum, the Player’s selection of Numbers, the number of Plays, the Drawing date, “Double Play®” option chosen, and Validation Numbers.
- C. A Player of a “Powerball®” Ticket must choose, at the time of Purchase, whether or not he/she wants “Double Play®”.
  - 1. The “Double Play®” option applies to all Plays on a single Ticket and cannot be Purchased on a Play-by-Play basis.
- D. “Powerball®” with “Double Play®” Tickets may not be cancelled.
  - 1. If the “Powerball®” Game is cancelled by the “Powerball®” Product Group prior to the occurrence of all Drawings for which Plays have been sold, the Lottery may provide a refund mechanism for such Plays to the Players, and the Lottery shall not be required to remit its Prize Pool contributions for any such refunded Plays.

**14.F.9 Advance Play**

Advance Play provides the opportunity to Purchase “Powerball®” Tickets for more than one (1) consecutive Drawing. A Purchaser of “Powerball®” Tickets may also Purchase the “Double Play®” option for all Advance Play Plays. The “Double Play®” option applies to all Drawings for which the Ticket is Purchased and the “Double Play®” option is selected. Players cannot elect the “Double Play®” option on a Drawing-by-Drawing basis when purchasing Advance Play Tickets. The Advance Play feature shall be available at the discretion of the Director.

**RULE 14.G MULTI-STATE JACKPOT GAME, “MILLIONAIRE FOR LIFE®”**

**BASIS, PURPOSE AND PURPOSE OF RULE 14.G**

The purpose of Rule 14.G is to provide details and requirements for the Colorado Lottery Multi-state Jackpot Game “Millionaire for Life®” such as sale of Tickets, payment of Prizes, and method for selecting and validating winning Tickets. The statutory bases for Rule 14.G are C.R.S. 24-4-103, 44-40-101, 44-40-109(1)(a) and (2), and 44-40-113 and 44-40-114.

**14.G.1 General Provisions**

The following rules are incorporated by reference, except as identified in these rules:

- A. The following sections of the “Millionaire for Life®” Official Game Rules as adopted by the Multi-state Lottery Association are incorporated herein, effective as of May 30, 2025:
  - a. Section 1, Definitions; section 2, Game Play; section 3, Drawings; section 6, Prize Payments; section 7, Ineligible Players; section 14, Prize Structure; section 14, Matches, Probabilities, and Prize Amounts and Levels; section 15, Prize Liability Limitation; and section 16, Life Annuity Requirements and Restrictions.
- B. Interested parties may inspect the referenced incorporated materials by contacting the Division at [dor\\_lotteryrules@state.co.us](mailto:dor_lotteryrules@state.co.us) or 225 N Main Street Pueblo, Co 81003.
- C. These regulations do not include later amendments to or editions of the incorporated material.

**14.G.2 Non-incorporated Provisions**

- A. Section 4, Claims and Validations; section 5, Unclaimed Grand Prizes; section 8, Play Validation Requirements; section 9, Returned Plays/Play Responsibility; section 10, Applicable Law; section 11, Advertising; section 12, Promotions; and section 13, Liability of the Lottery of the “Millionaire for Life®” Official Game Rules are not incorporated herein.
- B. At the time a Player selects numbers constituting a Play, the Player is not required to select between either receiving the Grand Prize or Match 5 Level Prize under the Annuity Option or the Cash Option.
- C. The sales cut off (game closure) will be 7:30 P.M. Mountain Time.
- D. Rule 1.3.3 is applicable to all purchases made within Colorado.
- E. Under section 16, Life Annuity Requirements and Restrictions, an Annuity Provider (not the Division or Colorado Lottery) will send an affidavit letter to the

Annuitant requesting proof of life. And if the Annuitant fails to provide a signed and notarized affidavit letter, the Annuity Provider (not the Division or Colorado Lottery) shall not make any further Deferred Annuity Portion payments.

**RULE 15** [Repealed eff. 04/30/2009]

**RULE 16** [Repealed eff. 04/30/2009]

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## **Editor's Notes**

### **History**

Rule 6.UF eff. 04/30/2007. Rules 6.NU, 6.PB, 6.PC, 6.QM, 6.QU, 6.QX, 6.QY, 6.RA, 6.RD, 6.RF, 6.RG, 6.RK repealed eff. 4/30/2007.

Rule 12 emer. rule eff. 05/09/2007.

Rule 6.UG eff. 05/30/2007. Rules 6.RN, 6.RP, 6.RS, 6.RT, 6.RV, 6.SE, 6.SI repealed eff. 05/30/2007.

Rules 6.UH, 6.UI, 6.UJ, 6.UK, 6.UL eff. 07/01/2007.

Rules 2, 6.UM, 6.UN; 12 eff. 07/30/2007.

Rules 6.UO; 6.UP; 6.UQ; 6.UR; 6.US; 6.UT eff. 08/30/2007.

Rule 6.UY emer. rule eff. 08/31/2007.

Rules 6.UU; 6.UV; 6.UW; 6.UX; 6.UY; 6.UZ eff. 09/30/2007.

Rules 6.VA, 6.VB eff. 10/30/2007.

Rules 6.UY, 6.VC, 6.VD, 6.VE eff. 11/30/2007.

Rules 6.VF - 6.VK eff. 12/30/2007.

Rules 6.VL, 6.VM, 6.VN, 6.VO eff. 01/30/2008. Rules 6.QH, 6.QN, 6.RQ, 6.RU, 6.SD, 6.SF, 6.SH, 6.SN, 6.SS, 6.SU, 6.TM, 6.TO repealed eff. 01/30/2008.

Rule 6.VP eff. 03/01/2008.

Rules 6.VQ, 6.VR, 6.VS, 6.VT eff. 03/30/2008.

Rule 6.VY emer. rule eff. 04/16/2008.

Rules 6.VU, 6.VV eff. 04/30/2008.

Rules 6.VF, 6.VZ emer. rule eff. 05/14/2008.

Rules 6.SP, 6.VW, 6.VX, 6.VY eff. 05/30/2008. Rules 6.PG, 6.PZ, 6.RJ, 6.RX, 6.SC, 6.SJ, 6.SK, 6.SL, 6.SM, 6.SQ, 6.SR, 6.TA, 6.TB, 6.TE repealed eff. 05/30/2008.

Rule 6.VZ eff. 06/30/2008. Rules 6.ST, 6.SV, 6.SZ, 6.TC, 6.TD, 6.TF, 6.TI, 6.TK, 6.TU, 6.TV, 6.UC, 6.UG repealed eff. 06/30/2008.

Rules 6.VF, 6.WA, 6.WB, 6.WC, 6.WD, 6.WE, 6.WF, 6.WG eff. 07/30/2008.

Rules 6.WH, 6.WI, 6.WJ, 6.WK, 6.WL eff. 08/30/2008.

Rules 2, 4, 6.WM, 6.WN, 6.WO, 6.WP, eff. 09/30/2008. Rules 2A, 9 repealed eff. 09/30/2008.

Rules 6.WQ - 6.WZ eff. 10/30/2008.

Rules 5; 6.XA; 6.XB; 6.XC; 6.XD; 6.XE; 6.XF; 14.A, 14.B eff. 11/30/2008.

Rules 6.XG - 6.XL eff. 12/30/2008. Rules 6.RL, 6.TS, 6.UF, 6.UL, 6.UN repealed eff. 12/30/2008.

Rules 6.XM, 6.XN, 6.XO, 6.XP, 6.XQ, 14 eff. 01/30/2009. Rules 6.SX, 6.UA, 6.UD, 6.UH, 6.UI, 6.UJ, 6.UK, 6.UU, 6.UV, 6.UW, 6.UY repealed eff. 01/30/2009.

Rules 6.XR, 6.XS, 6.XT, 6.XU eff. 03/02/2009.  
Rules 6.XV, 6.XW, 6.XX, 6.XY eff. 03/30/2009.  
Rules 10.A, 10.B eff. 04/30/2009. Rules 15, 16 repealed eff. 04/30/2009.  
Rules 6.XZ, 6.YA, 6.YB, 6.YC eff. 05/30/2009.  
Rules 6.YD, 6.YE, 6.YF eff. 06/30/2009. Rules 6.RB, 6.SG, 6.TG, 6.TJ, 6.TL, 6.TN, 6.TP, 6.TQ, 6.TX, 6.TY, 6.UO, 6.UP, 6.VH, 6.VL, 6.VV repealed eff. 06/30/2009.  
Rules 5, 6.YH, 6.YI, 6.YJ, 6.YK, 6.YL, 6.YM, 6.YN; 14. Rules 6.SO, 6.TZ, 6.VA, 6.VU repealed eff. 07/30/2009.  
Rule 10.F eff. 09/30/2009. Rules 6.RI, 6.RW, 6.SP, 6.VB, 6.VY repealed eff. 09/30/2009.  
Rule 6.WV emer. rule eff. 10/14/2009; expired eff. 01/14/2010.  
Rules 6.WR, 6.XT repealed eff. 10/30/2009.  
Rules 6.VK, 6.VO, 6.VR, 6.VZ, 6.WI repealed eff. 10/31/2009.  
Rule 10 eff. 11/30/2009. Rules 6.TT, 6.UR, 6.UZ, 6.VQ, 6.VW, 6.WA, 6.WB, 6.WG, 6.WG, 6.WH repealed eff. 11/30/2009.  
Rules 5, 10 eff. 01/30/2010. Rule 6.WN repealed eff. 01/30/2010.  
Rules 1, 6.WV, eff. 02/03/2010. Rules 6.VX, 6.WU repealed eff. 02/03/2010.  
Rules 14.C, 14.D emer. rule eff. 02/10/2010.  
Rules 6.VI, 6.VT, 6.WL, 6.WS, 6.XB, 6.XK repealed eff. 03/30/2010.  
Rules 14.C, 14.D eff. 04/30/2010.  
Rule 10.E eff. 05/30/2010.  
Rules 6.VD, 6.VF, 6.WC, 6.WD, 6.WF, 6.WT, 6.WX, 6.XA, 6.XD, 6.XL repealed eff. 05/30/2010.  
Rule 10.F eff. 06/30/2010.  
Rule 5 emer. rule eff. 07/14/2010.  
Rule 6.XQ repealed eff. 07/30/2010.  
Rule 14.B emer. rule eff. 08/18/2010.  
Rules 10, 10.A, 10.D, 10.E, 10.F, 14, 14.A, 14.B, 14.C, 14.D; eff. 08/30/2010. Rule 6.XW repealed eff. 08/30/2010.  
Rule 14.C emer. rule eff. 08/31/2010.  
Rule 14.D emer. rule eff. 09/14/2010.  
Rules 6.VS, 6.WY, 6.XM, 6.YA repealed eff. 09/30/2010.  
Rule 14.D emer. rule eff. 10/13/2010; per the agency, this emergency rulemaking (Adopted 10/13/2010) superseded the permanent rulemaking for Rule 14.D (Adopted 09/08/2010) before it became effective 10/30/2010.  
Rules 5, 14.C eff. 10/30/2010. Rules 6.WO, 6.XE, 6.YM repealed eff. 10/30/2010.  
Rules 10.F, 14.C emer. rule eff. 11/10/2010.  
Rule 14.B eff. 11/30/2010. Rules 6.VJ, 6.WK, 6.XC, 6.XR, 6.XY, 6.YC, 6.YL repealed eff. 11/30/2010.  
Rules 6.XG, 6.YK repealed eff. 12/30/2010.

Rules 14.C, 14.D eff. 01/30/2011.  
Rule 10.G emer. rule eff. 02/09/2011.  
Rule 10.F eff. 03/02/2011. Rules 6.TR, 6.WP, 6.WQ, 6.WV, 6.WW, 6.XJ, 6.XO, 6.YB, 6.YJ repealed eff. 03/02/2011.  
Rules 6.WZ, 6.XH repealed eff. 04/30/2011.  
Rule 10.G eff. 05/30/2011. Rules 6.WM, 6.XZ, 6.YD, 6.YH repealed eff. 05/30/2011.  
Rules 6.XI, 6.XN, 6.XS, 6.YN repealed eff. 07/30/2011.  
Rules 14.A, 14.B eff. 09/30/2011.  
Rules 6.EU, 6.YE repealed eff. 11/14/2011.  
Rules 6.XF, 6.XX repealed eff. 11/30/2011.  
Rule 10 eff. 12/30/2011.  
Rule 10.E.5 eff. 01/30/2012. Rule 10.F repealed eff. 01/30/2012.  
Rules 6.UB, 6.VN, 6.VP, 6.WE, 6.XP, 6.XV, 6.YF, 6.YI repealed eff. 06/30/2012.  
Rules 12, 13 repealed eff. 07/30/2012.  
Rule 10.G repealed eff. 08/30/2012.  
Rule 4 eff. 08/30/2012.  
Rule 10.F eff. 09/30/2012.  
Rule 10.B eff. 12/30/2012.  
Rules 10.A, 10.D eff. 06/30/2013. Rule 10.E repealed eff. 06/30/2013.  
Rules 14.C, 14.D eff. 07/30/2013.  
Rules 1, 10.A eff. 10/30/2013. Rule 11 repealed eff. 10/30/2013.  
Rules 10.B, 14.B eff. 12/30/2013.  
Rule 10.F repealed eff. 01/30/2014.  
Rules 14.A, 14.B eff. 03/02/2015.  
Rules 10.E, 14.A, 14.B, eff. 06/30/2015.  
Rules 14.A, 14.B eff. 10/04/2015.  
Rule 14.E eff. 01/14/2016.  
Rule 14.A eff. 07/02/2016.  
Rules 14.C, 14.D eff. 10/18/2016.  
Rules 14.A, 14.B eff. 10/19/2016.  
Rules 10, 10.A, 14, 14.A, 14.C eff. 05/01/2017.  
Rules 14.C, 14.D eff. 10/28/2017.  
Rules 1, 10, 14 eff. 10/15/2018.  
Rules 1, 5 eff. 01/14/2019.  
Rules 10.A, 10.G, 14.A, 14.B, 14.E eff. 09/14/2019.  
Rule 14.C.8 A emer. rule eff. 04/13/2020.  
Rule 14.C eff. 07/30/2020.  
Rule 14.E.7 eff. 07/19/2021.

Rules 14.A, 14.B, 14.F eff. 08/23/2021.

Rules 5.8 C, 5.8 I, 5.8.1 A.3, 5.8.2 A, 10.9 C, 10.9 D, 10.9 K, 10.9 L, 14.9 C, 14.9 D, 14.9 K, 14.9 L eff. 10/30/2021.

Rules 14.E Basis and Purpose, 14.E.1 A, 14.E.2 G-H, 14.E.5, 14.E.7 A-B, 14.E.10 eff. 10/15/2022.

Rules 10.A.7 A, 10.G Basis and Purpose, 10.G.7 A eff. 09/14/2023.

Rules 1, 2.2, 2.4, 2.5, 2.6 e, 2.9 b, 5.2, 5.6, 5.7, 5.8 c, 5.9, 5.10, 14.C eff. 04/04/2025.  
Rule 14.D repealed eff. 04/04/2025.

Rules 1.1-1.3, 2, 10.A.8, 10.B.2, 10.B.7, 10.D.2, 10.D.4, 10.G.8, 14.A.8, 14.E.8, eff. 04/30/2025.

Entire rule eff. 01/14/2026.

### **Annotations**

Rule 12.2 (adopted 06/13/2007) was not extended by Senate Bill 08-075 and therefore expired 05/15/2008.